Alphabet (GOOGL)

The price assumes stronger returns on AI investment

Sell (personal view) 12-month model value: $221

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October 2026

AHMADI RESEARCH
CUT THROUGH THE NOISE



Mohammad Ahmadi

A personal hobby project for fun and learning about markets.
"Ahmadi Research" is my project name. I write as the author, using "I" and "my."

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Personal View: Sell, on the Return the AI Build Has to Earn

Twelve-month model value $221; the DCF values the base case at $203 and the best case at $365 at the price date, against $341

Model label: Sell **Price:** $340.59 (Oct 16, 2026) **Model value:** $221 (12 months) **Horizon:** 2-3 years **Market cap:** $4.17T

17.1x | 33.0x

Trailing P/E on reported EPS versus core EPS, which excludes gains on equity securities

$203 | $365

DCF value per share at the price date, base and best case, against a $340.59 price

-$5.9B

Q2 2026 free cash flow, the first negative quarter since at least 2013

+82%

Google Cloud revenue growth in Q2 2026, on a $513.9B backlog

- **A strong business at a demanding price.** Cloud grew 82% and Search 16.8% in Q2. My base case earns about 15% on $1.2 trillion of capex to FY2030E, against a 9.61% cost of capital: $203 a share.
- **The price sits at the top of my range.** Best case $365, base $203, worst $81; my Monte Carlo centers on $201.
- **Multiples say fairly priced.** They give $299 to $360; the DCF reaches $329 when four bullish readings hold together.
- **The reported multiple looks cheaper than it is.** 17.1x reported is 34.6x after-tax operating income, third dearest of six mega-caps.
- **My forecast is below the Street from FY2027.** Operating income is 9% below consensus in FY2027 and 15% below in FY2028.
- **Signals to reassess my view.** Cloud revenue added above 35 cents per prior-year capex dollar at the February 2027 capex guide, or Cloud margin holding above 35%.

Sources: Alphabet Form 10-Q (Q2 2026) and Q2 2026 earnings call; StockAnalysis price, consensus and peer statistics (Oct 12-16, 2026); MarketScreener consensus (Oct 13, 2026); Ahmadi Research model and reverse DCF (Oct 18, 2026).

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Alphabet 101: Where the Revenue and the Margin Come From

Segment revenue and operating income; fiscal-year history and Q2 2026, $B

Segment	FY2024	FY2025	Q2 2026	YoY %	Q2 margin
Google Search & other	198.1	224.5	63.3	+16.8%	-
YouTube ads	36.1	40.4	11.1	+12.9%	-
Google Network	30.4	29.8	7.3	-0.7%	-
Subscriptions, platforms, devices	40.3	48.0	12.9	+15.2%	-
Google Services total	304.9	342.7	94.5	+14.5%	41.8%
Google Cloud	43.2	58.7	24.8	+81.8%	35.6%
Other Bets	1.6	1.5	0.4	+2.4%	loss
Hedging gains (losses)	0.2	-0.1	0.1	-	-
Total revenue	350.0	402.8	119.8	+24.2%	34.0%

Hedging gains (losses): results of the currency hedges on forecast foreign revenue. Alphabet reports them in total revenue but in no segment, so they sit outside the segments above. Figures may not sum because of rounding.

How the economics work. Advertising is still about 68% of revenue and carries the group: Services earned $39.5B of operating income in Q2 on a 41.8% margin.

Cloud is the growth engine. Up 81.8% year over year to $24.8B, with segment margin up from 5.2% to 35.6% since FY2023, on a $513.9B backlog.

The cost offset is central. Alphabet-level activities, mostly shared AI and DeepMind research, cost $5.8B in Q2, up 71.7% year over year, and sit outside every segment.

Other Bets remains a drag. A $1.8B quarterly operating loss on $0.4B of revenue.

Sources: Alphabet Forms 10-K (FY2023-FY2025) and 10-Q (Q2 2026), segment notes; GOOGL_Data_2026-10-07.xlsx sheet 03.

Competitive Position: Third Dearest of Six on Operating Earnings

Mega-cap comparison at October 16, 2026; multiples with and without non-operating income, and returns on capital

Company	Trailing P/E	Non-operating, % of pretax	Mkt cap / operating earnings	Fwd P/E	EV / EBITDA	ROIC
GOOGL	**17.1x**	**51%**	**34.6x**	**25.6x**	**22.6x**	**24.9%**
MSFT	29.5x	6%	31.4x	26.8x	20.5x	26.2%
META	26.7x	1%	26.8x	22.2x	16.7x	25.4%
AMZN	20.1x	46%	37.2x	26.6x	16.7x	11.9%
AAPL	39.4x	1%	39.1x	37.3x	29.5x	101.6%
NVDA	27.1x	14%	31.2x	17.7x	25.6x	92.0%

The reported P/E flatters two names. Non-operating income is 51% of Alphabet's pretax income and 46% of Amazon's. With it removed for all six, Alphabet trades at 34.6x after-tax operating income, behind Apple (39.1x) and Amazon (37.2x).

Negative free cash flow is a cohort feature. Amazon converts worse. A bear case must argue Alphabet's conversion is worse than peers', not merely falling.

Returns are compressing. Provider ROIC is 24.9%, now below Microsoft and Meta, as the build enters the denominator. My own build, which nets all cash, gives 28.7%.

Market position. About 15% of a $143B quarterly cloud infrastructure market, third behind AWS and Azure; Search remains the dominant global query surface, and the EU DMA data-sharing obligation in January 2027 is its first structural test.

Sources: StockAnalysis and S&P Global peer statistics (Oct 16, 2026); Synergy Research Group; GOOGL_Data_2026-10-07.xlsx sheet 12. Operating earnings are TTM operating income after tax at each company's own effective rate, so interest, investment gains and equity-method results are excluded for all six; peer figures tie to their SEC filings. Forward P/E is provider-reported. Its exact earnings basis is unconfirmed. GOOGL EV excludes equity stakes.

Industry: The Search Moat Holds; the Contest Is in Cloud and AI

Competitive forces across search advertising, cloud infrastructure and AI; share data as of the dates shown

Force	Assessment	Evidence
Rivalry	High in cloud and AI, low in search	AWS 28%, Azure 20% and Google 15% of a $143B quarterly cloud market; Google gained a point of share two quarters running
Substitutes	Rising	ChatGPT at about 1B monthly users; Google at 90.4% of global search, down about 3 points in three years, with the loss on desktop
New entrants	Low	The cloud cohort is spending $580B to $600B of capex in 2026; scale in chips, power and data centers is the entry cost
Buyer power	Moderate	Google's share of US search ad spend is forecast at 48.5% in 2026, below half for the first time, with Amazon the main taker; the $513.9B Cloud backlog is contracted
Supplier power	Moderate, falling	In-house TPUs cut reliance on Nvidia and are now sold to third parties; Alphabet still rents third-party capacity to meet demand
Regulation	Rising in the EU, contained in the US	DMA data sharing with rivals and AI chatbots from January 2027; two US courts declined to order divestitures

Moat. Default distribution and query scale in Search; in Cloud, a full stack from TPU to model that the backlog suggests customers will pay for. The open question is the return on the capital it takes to defend both.

Sources: Synergy Research Group (Q2 2026); StatCounter (May 2026); Sensor Tower via Reuters (Jun 2026); eMarketer (2026 forecast); The Register (Aug 4, 2026); European Commission; U.S. v. Google rulings; Alphabet Q2 2026 call. Share data predate the Q3 print and were not re-pulled in October.

Three Factors Move This Stock; the Forecast Gap Sits in Capex

EPIC re-rank after Q2 2026, re-scored Sep 21; each factor scored 1-5 on four tests

Factor	Exceeds materiality	Probably occurs	I can forecast	Consensus gap	Total
A. Valuation / the multiple	**5**	**5**	**4**	**3**	**17**
B. Cloud growth, backlog to margin	**5**	**5**	**4**	**3**	**17**
C. Capex, AI-infra ROI, FCF conversion	**5**	**5**	**4**	**3**	**17**
D. Margins / depreciation (inside C)	4	5	4	3	16
E. Search / ad durability vs AI	5	3	3	4	15
F. Gemini / AI model position	4	4	2	3	13
G. Capital allocation	3	4	3	3	13
H. Antitrust / regulatory	3	4	2	2	11

Critical factors

- **A, the multiple.** Half of trailing earnings are marks, so the 17x trailing multiple misstates what investors pay. My forward cross-check uses blended FY2026/27 EPS.
- **B, Cloud.** +82% growth at a 35.6% margin on a $513.9B backlog; corroborated, but now visible to everyone.
- **C, capex and FCF.** Where the forecast gap sits: consensus operating margin is 35.3% in FY2027 and 35.8% in FY2028, mine 33.5% and 31.5%; the Street also carries more capex and faster revenue.
- **H rises to 11:** the July 16 EU DMA decisions open Search data and Android to rivals in 2027. Below the cut, no longer closed.

How to read the scores: Each test runs from 1 (weak) to 5 (strong); the three highest totals are the critical factors.

E — Exceeds materiality: would it move the value on its own?

P — Probably occurs: how likely is it, on a horizon that matters?

I — I can forecast: can it be modelled from the evidence?

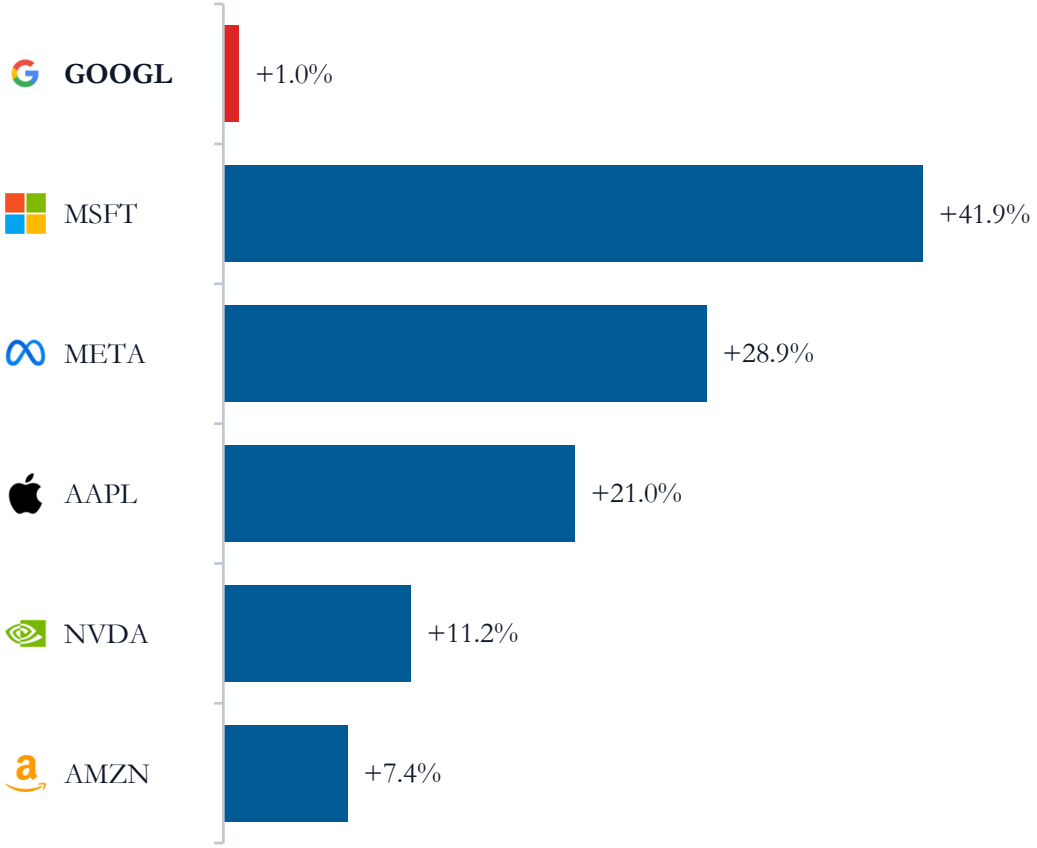
C — Consensus gap: how far my evidence-based view differs from consensus.

EPIC is the CFA Institute framework.

Sources: Ahmadi Research EPIC ranking (re-ranked Sep 10 and re-scored Sep 21, 2026), per CFA Institute Analyst Skills framework; Alphabet Form 10-Q (Q2 2026).

Alphabet Has Lagged Every Mega-Cap Over the Past Sixteen Weeks

Share-price change over the sixteen weeks to October 16, 2026



What the market has absorbed since May

- **Four straight down months, May to August,** the longest monthly losing streak in over a decade. The stock fell 1.6% in the eleven weeks to September 10 and is up 1% over the sixteen weeks to October 16, against 7% to 42% for the other five.
- **A $49.5B capital raise in June:** $30.5B of common plus $19.0B of 6.25% mandatory convertible preferred. A further $40.0B at-the-market program sits undrawn.
- **First negative free-cash-flow quarter** as 2026 capex guidance rose a second time, to $195-205B.
- **AI talent departures:** Jeff Dean left after 27 years, with Sanjay Ghemawat, Oriol Vinyals and Quoc Le. Demis Hassabis moved to chair Google DeepMind.
- **Antitrust largely closed:** on Sep 2 Judge Brinkema declined to order divestiture of AdX or DFP.

Sources: StockAnalysis prices (Jun 26, Sep 10 and Oct 16, 2026); CNBC (Aug 5 and Sep 2026); Alphabet Form 10-Q (Q2 2026); U.S. v. Google (E.D. Va.) remedies ruling.

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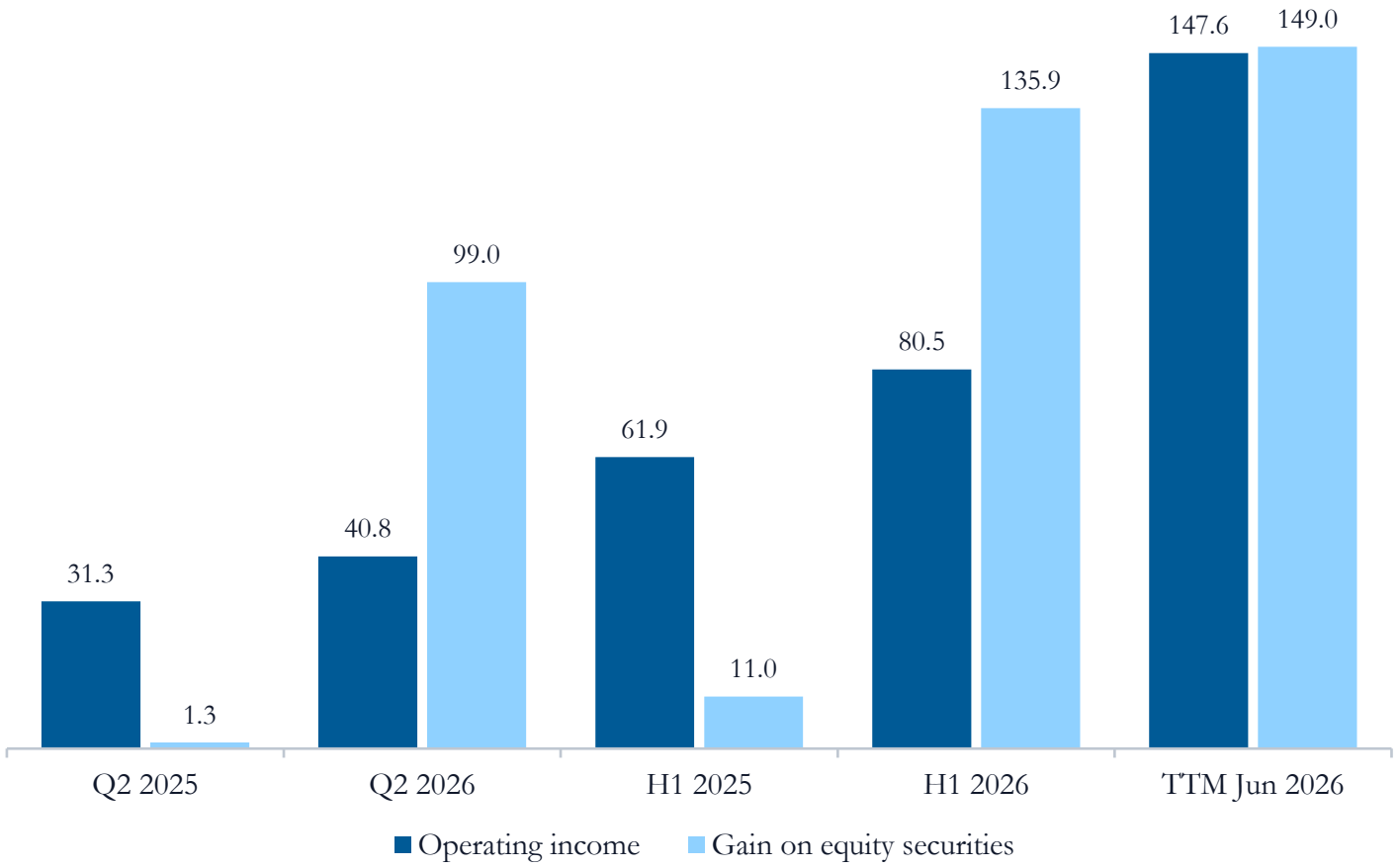
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Half of Trailing Pretax Income Is a Mark on the Equity Portfolio

Operating income versus gains on equity securities, $B



71.4%

of Q2 2026 pretax income came from the $99.0B gain

$9.11 vs $2.76

Q2 2026 reported versus core diluted EPS

+24% not +294%

Core EPS growth in Q2 2026 versus the reported figure

Sources: Alphabet Form 10-Q (quarter ended Jun 30, 2026) and Form 10-Q (Q2 2025); core EPS derived by Ahmadi Research (gain taxed at 21%, the rest of reported tax as core tax).

Alphabet's Investments Span Eight Areas, From Frontier AI to Fusion

Selected investments, current and past, made directly or through GV and CapitalG

Frontier AI labs

Anthropic · Thinking Machines Lab · Physical Intelligence · Magic

Anthropic: Google agreed in April 2026 to invest $10B at a $350B valuation, and up to $30B more if Anthropic hits performance targets. Anthropic agreed to buy at least 5 GW of Google Cloud capacity.

AI infrastructure and developer tools

Databricks · Lightmatter · SambaNova · Baseten · OpenRouter · Vercel · Supabase · LangChain

AI applications

Harvey · OpenEvidence · Abridge · Lovable · Synthesia · Sierra

Space and frontier technology

SpaceX · K2 Space · Neuralink · Zipline

SpaceX: $94.1B at June 30, all restricted from sale, after the June 2026 listing. Google put in $900M in 2015.

Energy and climate

Commonwealth Fusion Systems · Base Power · Dandelion Energy

Commonwealth Fusion Systems: a second Google investment in June 2025, alongside 200 MW of power from its first plant in Virginia.

Fintech

Stripe · Robinhood · Plaid · Ramp · Monzo · Kalshi

Enterprise software and security

CrowdStrike · Cloudflare · Zscaler · Canva · Rippling · Snyk

Health and life sciences

insitro · Grail · Beam Therapeutics

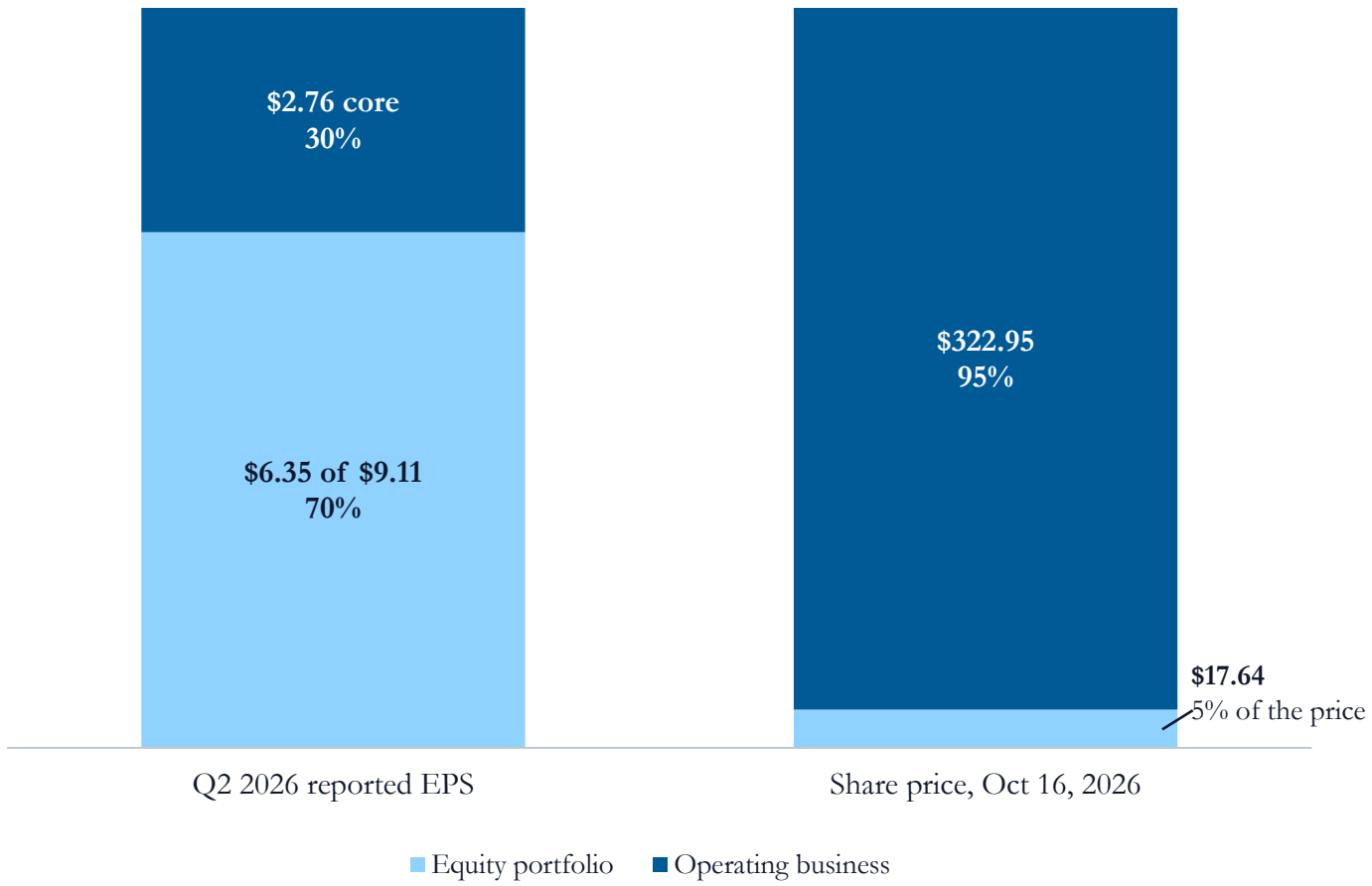
● Alphabet direct (outlined) ● GV ● CapitalG

Consolidated, not part of the equity portfolio: Waymo, Verily, Isomorphic Labs, Calico, Wing (Other Bets and Alphabet-level) and Wiz (acquired). GV and CapitalG pages do not show stake sizes.

Sources: GV and CapitalG portfolio pages, accessed Oct 15, 2026; Alphabet Form 10-Q (Q2 2026), equity securities note; Bloomberg (Apr 24, 2026) and Fortune (Jul 22, 2026) on Anthropic; VentureBeat (2015) on SpaceX; Google blog (Jun 30, 2025) on Commonwealth Fusion.

The Portfolio Made Up 70% of Q2 Earnings but Is 5% of the Price

Gains on equity securities against operating earnings in Q2 2026, and the stakes against the share price at October 16, 2026



$94.1B in SpaceX

Listed in June (SPCX) and restricted from sale; $7.67 a share. Illustrative Oct 13 estimate: about $86B, assuming no share sales

$124.3B in private stakes

Marked to observable transactions. Primarily one private company the 10-Q does not name; press ties the Q2 gains mainly to Anthropic. $108.2B after deferred tax, $8.81 a share

-$11.0B in Q3

Illustrative mark on SpaceX alone: shares fell 11.7% from Jun 30 to Sep 30. About $0.71 off Q3 reported EPS, none off core

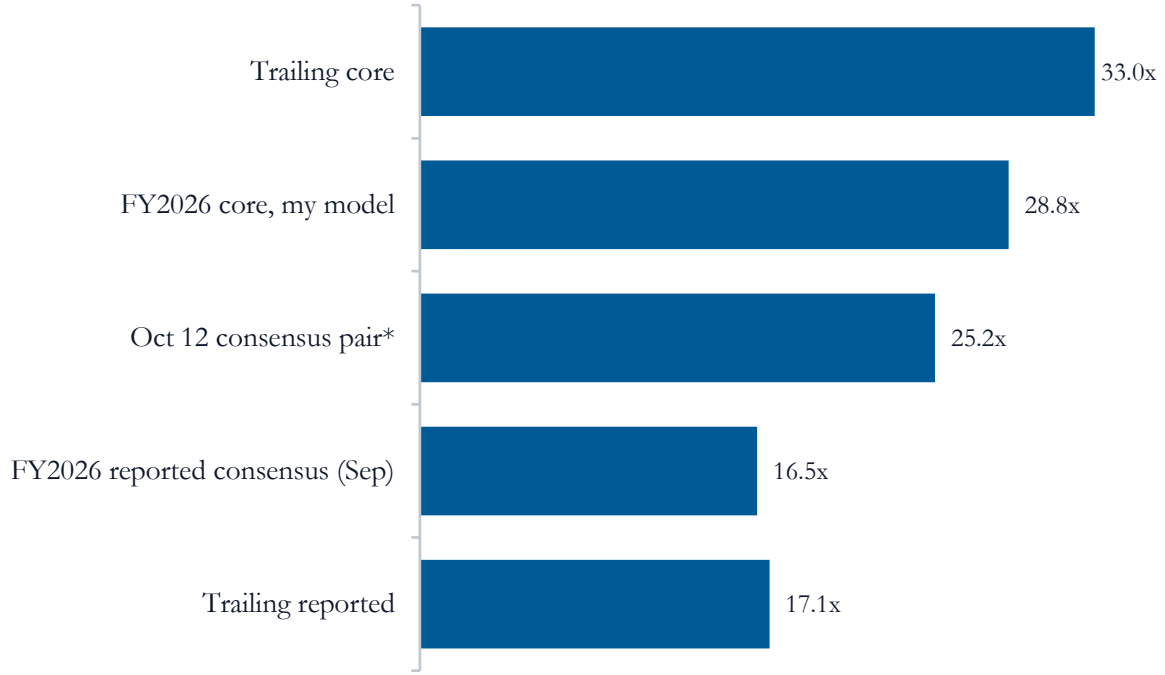
The equity bridge counts $17.64 a share of stakes: SpaceX $7.67, the private company $8.81 after deferred tax, and $1.16 of other marketable and equity-method holdings.

Sources: Alphabet Form 10-Q (Q2 2026), equity securities note (SpaceX shares of $80.0B and $14.1B restricted from sale; non-marketable securities of $124.3B, "primarily" one private company); Fortune (Jul 22, 2026) on the Q2 gains; SpaceX (SPCX) closes from Robinhood market data; Ahmadi Research model, equity bridge.

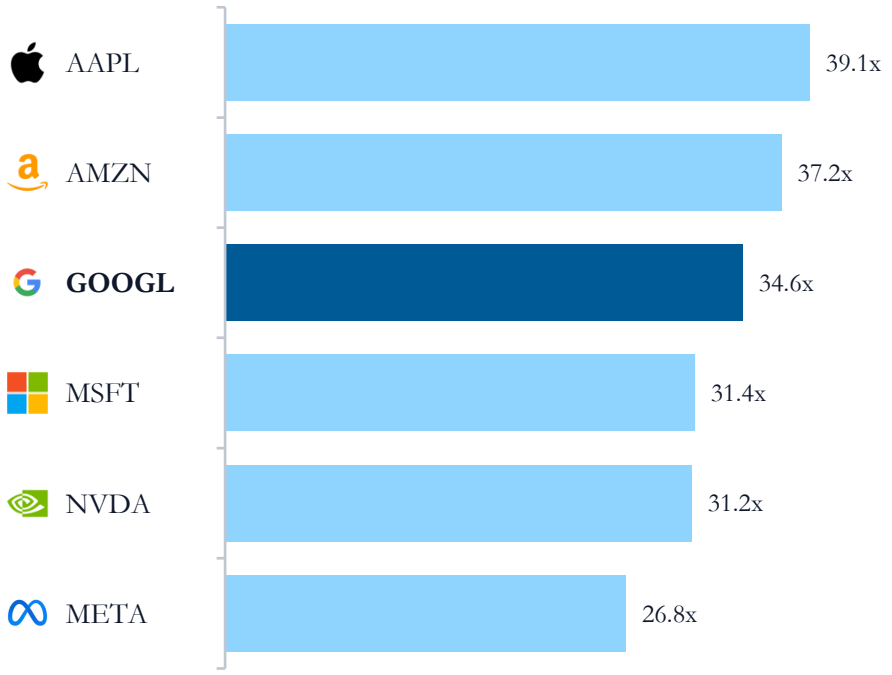
At $341, Alphabet Trades at 17x Trailing Reported and 33x Trailing Core

Alphabet's valuation across reported, core and forecast earnings, with peers shown for operating-earnings context.

Alphabet P/E by earnings basis at $340.59



Peers: market cap / after-tax operating income



Alphabet's reported P/E understates its multiple on core earnings: 17.1x versus 33.0x on a trailing basis. At 34.6x after-tax operating income, Alphabet is third-most expensive among six peers. The forecast bars use different earnings periods and bases.

*Consensus-pair P/E = $340.59 / [($11.82 FY2026 + $15.24 FY2027 consensus means, Oct 12)/2]. My construction; the provider does not state its forward EPS basis.

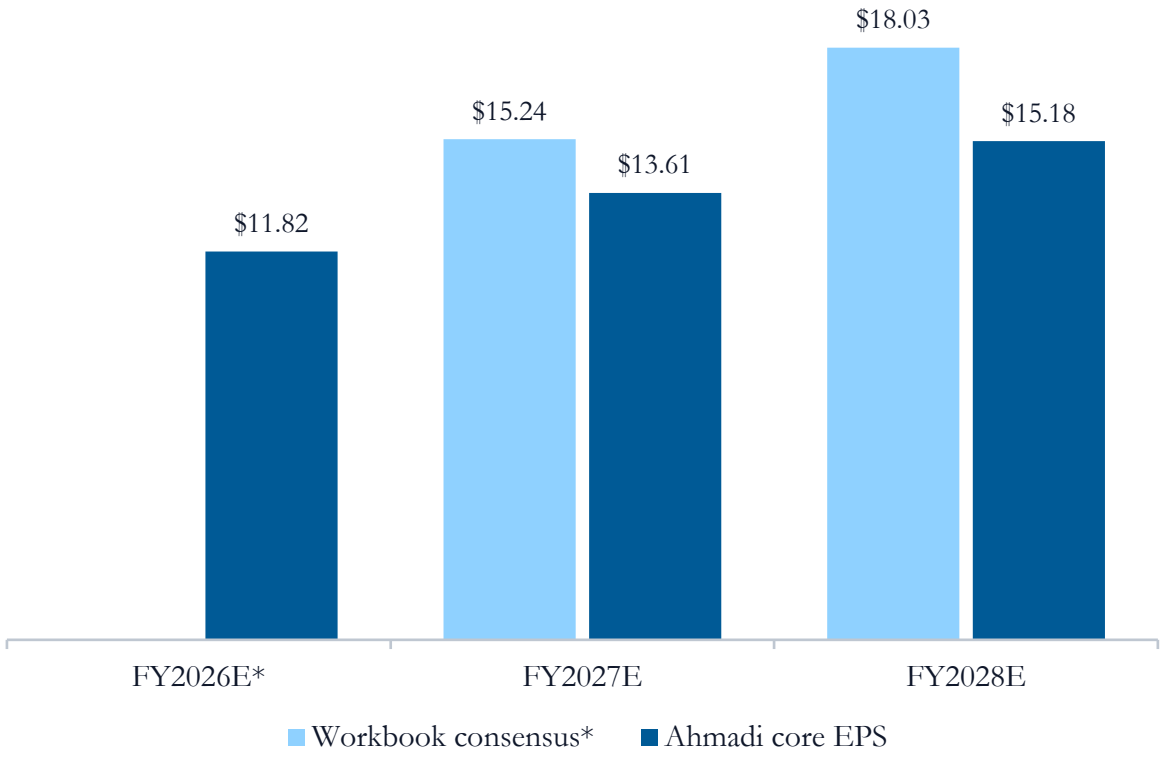
Alphabet Peers

Sources: StockAnalysis consensus (Sep 8) and statistics (Oct 16, 2026); Alphabet Q2 2026 Form 10-Q; core EPS and operating-earnings multiples derived by Ahmadi Research.

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The Forecast Gap Widens in FY2027 and FY2028

Core EPS model versus dated workbook consensus, $ per share. FY2026 consensus is not shown: its basis is mixed.



Dated workbook estimates	FY2026	FY2027
Analysts	n/a	n/a
Consensus EPS*	$20.60 reported (Sep)	$15.24 ($14.84 in Sep)
Range	n/a	n/a
Spread as % of mean	n/a	n/a
30-day revisions, up / down (Sep)	4 / 1	9 / 1
Revenue	$499.3B	$618.8B
Consensus operating margin (EBIT)	**34.4%**	**35.3%**
My base-case operating margin	**35.0%**	**33.5%**

My FY2026 core EPS is $11.82. FY2026 consensus is not compared: on Oct 16 its range ran from $11.38 to $20.65, mixing analysts who include the H1 marks with those who do not. The workbook's FY2027 and FY2028 estimates exceed my model by 12% and 19%.

Ratings: 44 strong buy, 13 buy, 5 hold, 0 sell. Average price target $430.40 (+21.3%).

*FY2026 table EPS is reported GAAP from the September workbook snapshot, not core EPS. The chart omits FY2026 consensus. Sources: workbook 07 Consensus; StockAnalysis (Sep/Oct 2026); MarketScreener (Oct 13); Ahmadi Research model.

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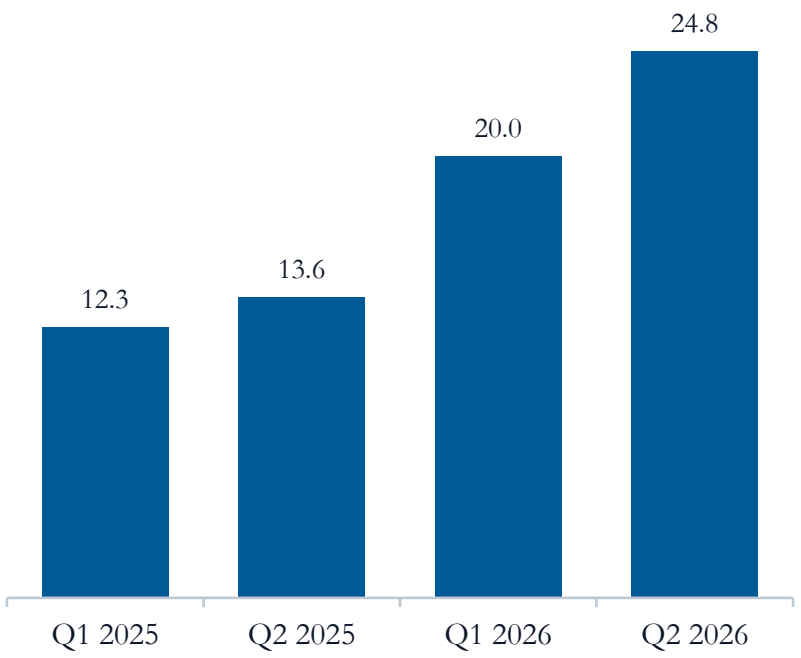
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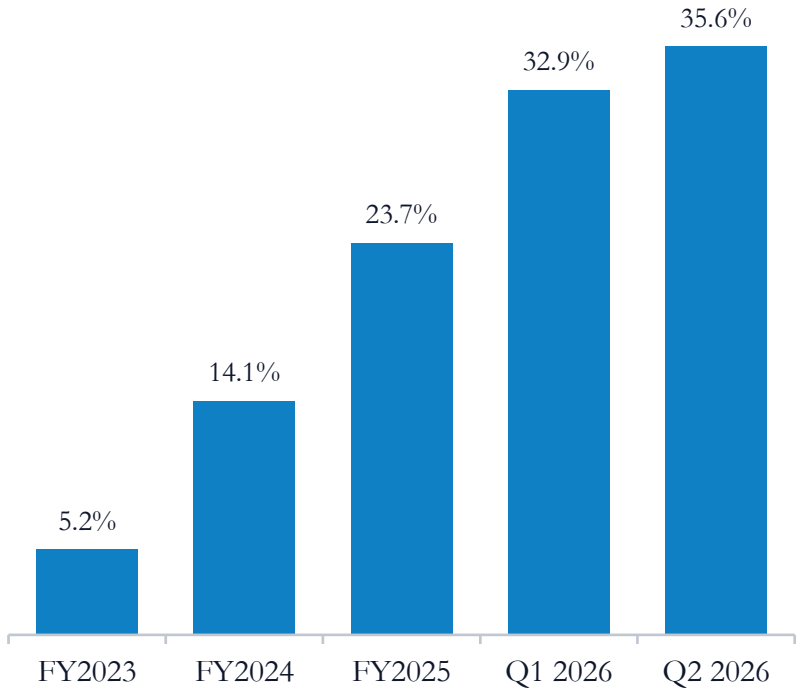
Google Cloud Now Adds to Margin Instead of Diluting It

Google Cloud revenue ($B) and segment operating margin

Quarterly revenue, $B (Q2 +82% YoY)



Operating margin



$513.9B

Cloud backlog at June 30, 2026

15%

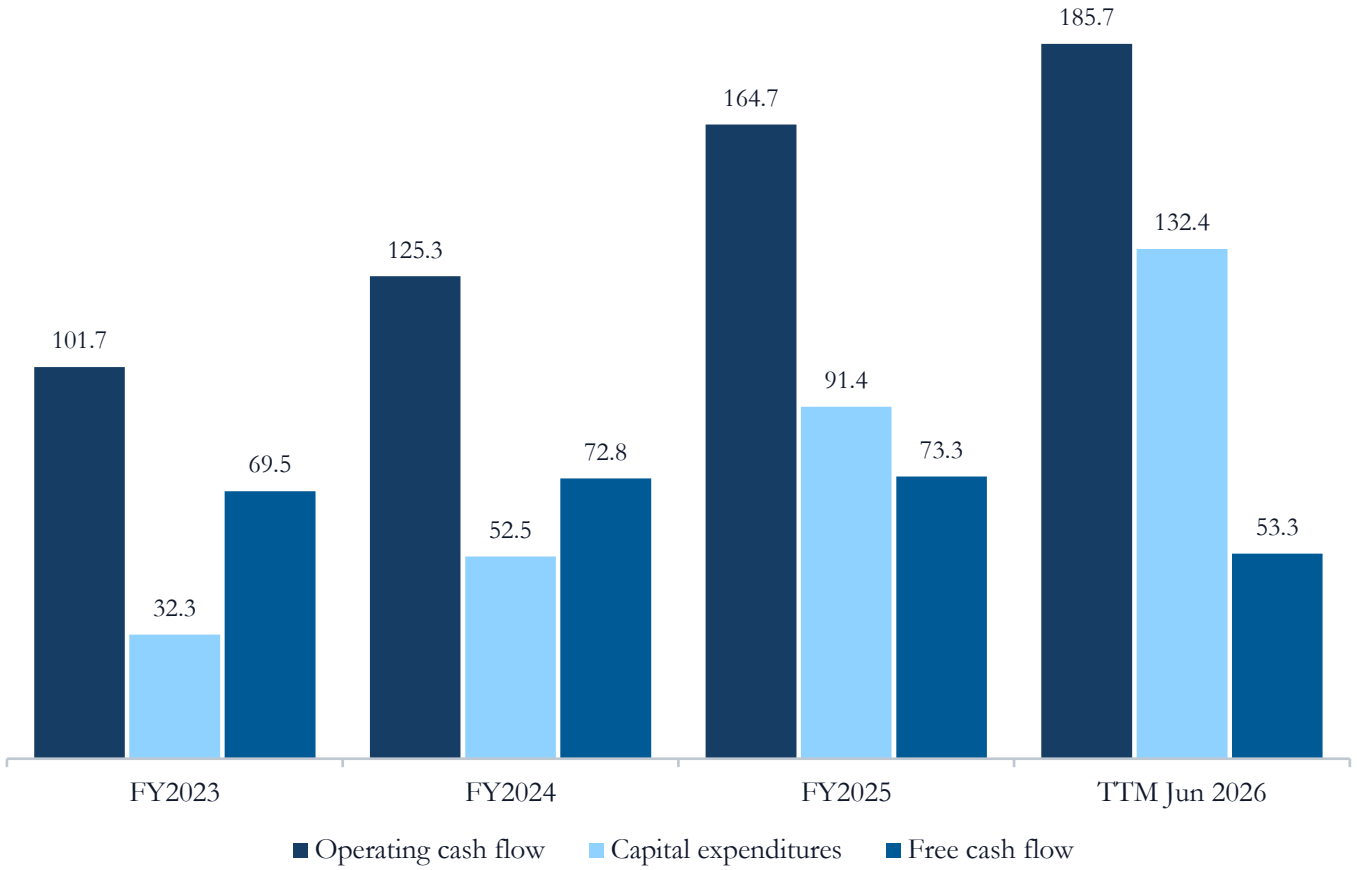
share of a $143B quarterly cloud infrastructure market

Named headwinds: third-party capacity bridging ('modest margin pressure in the near term') and Wiz integration. TPU revenue from the large agreement lands mostly in 2027.

Sources: Alphabet Forms 10-Q (Q1 2025-Q2 2026) and 10-K (FY2023-FY2025); Q2 2026 earnings call; Synergy Research Group.

Capex Has Outrun Cash Flow; Q2 2026 Was the First Negative Quarter

Operating cash flow, capital expenditures and free cash flow, $B



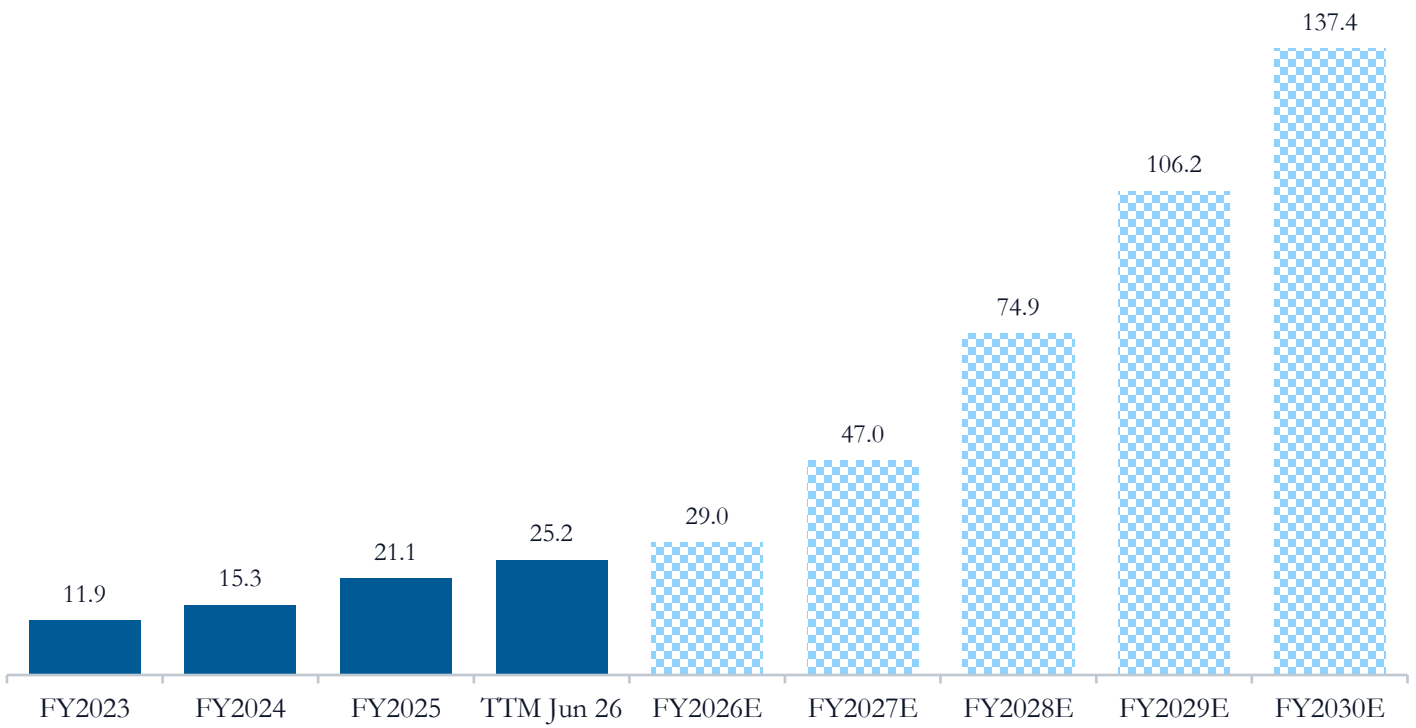
2026 capex guidance	$B
Initial (Q4 2025 call)	175 - 185
Raised (Q1 2026 call)	180 - 190
Raised again (Q2 2026 call)	**195 - 205**
H1 2026 actual	80.6
2027	'increase significantly'
Peak timeline	None given

'We expect the free cash flow will remain under pressure.'
Anat Ashkenazi, CFO, Q2 2026 call
Cohort context: Amazon's TTM free cash flow is -$7.6B on $169.0B of net capex.

Sources: Alphabet Forms 10-K (FY2023-FY2025) and 10-Q (Q2 2026); Q4 2025, Q1 2026 and Q2 2026 earnings calls; Amazon Form 8-K (Q2 2026).

The Depreciation Wave Has Barely Reached the Income Statement

Depreciation, $B: reported history and Ahmadi Research base case



Share of revenue: 3.9% in FY2023, 5.7% TTM, 5.9% in FY2026E and 14.4% by FY2030E in the base case (10.9% best, 20.5% worst). Depreciation starts when assets are placed in service; about 0.9 years of capex is always waiting.

$122.8B

of assets not yet in service, 28.75% of gross PP&E and up $44.2B in six months

6 years

straight-line life on servers and network equipment; no change in estimate

'...will continue to put pressure on the P&L in the form of higher depreciation expense.'
Anat Ashkenazi, CFO, Q2 2026 call

Sources: Alphabet Form 10-K (FY2025) and Form 10-Q (Q2 2026), property and equipment notes; Q2 2026 earnings call; Ahmadi Research model (base case).

Balance Sheet and Capital Structure After the June 2026 Raise

Filed balances at June 30, 2026, after the June raise; $B unless stated

+$139.7B

Net cash at Jun 30, 2026, up from $45.1B at Mar 31; operating leases are not debt

$102.8B

Total debt excl. operating leases, from $13.6B at FY2024; interest income still exceeds interest expense

$49.5B

Raised in June 2026: $30.5B common and $19.0B preferred; the $40.0B ATM was undrawn at June 30

24.9%

ROIC on the provider's basis; 28.7% on my build, which nets all cash

Balance sheet	FY2024	FY2025	June 2026
Cash and marketable securities	95.7	126.8	242.5
Property and equipment, net (as filed)	171.0	246.6	321.2
Goodwill (up $24.4B in Q1 2026 with Wiz and Intersect)	31.9	33.4	57.8
Total assets	450.3	595.3	922.0
Total debt	13.6	51.0	102.8
Stockholders' equity	325.1	415.3	640.5
Net cash (derived)	82.1	75.8	139.7

Three items the EPS build must carry. The 6.25% preferred costs about $1.19B a year and dilutes on mandatory conversion; buybacks are suspended, so the model grows the share count with stock pay; the $40.0B ATM, meant to fund tax on those grants, is not otherwise modelled.

Disclosure note. Two consecutive earnings calls, April 29 and July 22, passed with no mention of the raise, the preferred or the buyback suspension.

Sources: Alphabet Form 10-Q (Q2 2026) balance sheet and equity notes; GOOGL_Data_2026-10-07.xlsx sheets 04 and 05.

Ownership, Control and Capital Allocation

Share classes at July 15, 2026, and where the cash is now directed

Share class	Shares (M)	Votes per share
Class A (GOOGL)	5,868	1
Class B (founders, unlisted)	835	10
Class C (GOOG, non-voting)	5,527	0
Total outstanding	12,230	-
H1 2026 weighted-average diluted	12,274	-

Control sits with Class B. A roughly 6.8% economic stake carries a voting majority through the ten-vote class, so the capex path is not open to an activist challenge. Treat the governance discount as structural rather than as a catalyst.

Capital allocation has inverted. Through FY2024 Alphabet shrank its share count and returned cash. In 2026 it raised about $49.5B externally and suspended buybacks to fund a $195-205B capex year.

Priority order, as revealed: capex first, then acquisitions (Wiz and Intersect), then the dividend, with repurchases last.

What it means for the thesis. Per-share value now rests on the return earned on invested capital, not on shrinking the denominator. The base case assumes 15% on new capital after FY2030E, against about 15% on the five-year build and a 9.61% cost of capital.

Open questions for management. No peak capex year has been given, and no framework for when buybacks resume.

Sources: Alphabet Form 10-Q (Q2 2026) cover page and equity notes; GOOGL_Data_2026-10-07.xlsx sheet 05.

Financial Analysis: Margins Rise as Cash Conversion and Returns Fall

Ratio analysis on filed figures; core net income excludes gains on equity securities

	FY2023	FY2024	FY2025	TTM Jun 26
Revenue growth	-	13.9%	15.1%	-
Gross margin	56.6%	58.2%	59.7%	60.9%
Operating margin	27.4%	32.1%	32.0%	33.1%
Core net margin	23.9%	27.8%	28.1%	28.4%
R&D, % of revenue	14.8%	14.1%	15.2%	15.5%
Stock-based compensation, % of revenue	7.3%	6.5%	6.2%	6.3%
Capex, % of revenue	10.5%	15.0%	22.7%	29.7%
Free cash flow / core net income	95%	75%	65%	42%
Asset turnover (revenue / average assets)	-	0.82x	0.77x	0.59x
Equity multiplier (average assets / equity)	-	1.40x	1.41x	1.44x
Core ROE (the product of the three above)	**-**	**31.9%**	**30.6%**	**24.0%**
Current ratio	2.10x	1.84x	2.01x	2.72x
Debt / equity, excl. operating leases	5.1%	4.2%	12.3%	16.0%

- **Margins are still rising.** Gross margin is up 4.3 points since FY2023 and operating margin 5.7, before most of the depreciation ramp.
- **Cash conversion has more than halved.** Free cash flow was 95% of core net income in FY2023 and 42% in the last twelve months, as capex went from 10% to 30% of revenue.
- **Returns are falling through the balance sheet.** Core ROE went from 32% to 24% while the margin rose; asset turnover fell from 0.82x to 0.59x as the build and the June raise came on.
- **Liquidity and leverage are not constraints.** A current ratio of 2.7x, debt at 16% of equity and net cash of $139.7B.

Sources: Alphabet Forms 10-K (FY2023-FY2025) and 10-Q (Q2 2026); core net income derived by Ahmadi Research; GOOGL_Data_2026-10-07.xlsx sheets 01, 04, 06 and 09. TTM balance-sheet ratios average December 2025 and June 2026.

ESG: The Build Raises the Footprint; Control Rests With the Founders

Environmental, social and governance factors with a line of sight to value

Environmental

- Electricity use rose 37% in 2025, the largest single-year increase Google has reported.
- Total emissions rose 18%: operational emissions fell 2% while supply-chain emissions, mostly chips and servers, rose 25%.
- The carbon-free share of its electricity was roughly flat on 2024, despite more than 12 GW of new clean-energy contracts.
- Water consumption rose 34% to 10.9 billion gallons.

Social

- AI talent: Jeff Dean, Sanjay Ghemawat, Oriol Vinyals and Quoc Le left in 2026, and Demis Hassabis moved to chair Google DeepMind.
- Competition law: EUR 890M of DMA fines in July 2026, a EUR 4.1B Android fine made final, and behavioral remedies in two US cases.
- Data sharing with rival engines and AI chatbots is required in the EU from January 2027.
- Headcount was 194,668 at March 2026, up 4.8% in a year against revenue growth of 22%.

Governance

- Three share classes: Class B carries ten votes a share and gives the founders a voting majority on about 6.8% of the equity.
- Ten directors, seven of them independent, with an independent chair separate from the CEO.
- The board recommended against the 2026 stockholder proposal for equal voting.
- Two earnings calls passed without discussion of the $49.5B raise or the buyback suspension.

Why it matters to the thesis: the footprint grows with the same capex that drives the valuation, power is a constraint on the build, and the share structure means the capital-allocation choices cannot be challenged from outside.

Sources: Google 2026 Environmental Report as reported by Axios (Jun 30, 2026) and S&P Global (Sep 3, 2026); Alphabet 2026 proxy statement (DEF 14A); Alphabet Forms 10-K and 10-Q; European Commission; CNBC (Aug 5, 2026). Environmental figures are for 2025 and come from secondary coverage of the report.

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My Forecast Against Consensus

Base case, $B except EPS. Dated workbook consensus. FY2026 consensus is not shown on an ex-marks basis.

	FY2025A	FY2026E model	FY2026E consensus	Delta	FY2027E model	FY2027E consensus	Delta	FY2028E model	FY2028E consensus	Delta
Revenue	402.8	489.9	499.3	-1.9%	594.0	618.8	-4.0%	713.2	741.8	-3.9%
Operating income (EBIT)	**129.0**	**171.6**	**171.7**	**0.0%**	**199.2**	**218.3**	**-8.7%**	**224.4**	**265.4**	**-15.5%**
Operating margin	32.0%	35.0%	34.4%	+0.6pp	33.5%	35.3%	-1.7pp	31.5%	35.8%	-4.3pp
Diluted EPS, reported	**$10.81**	**$20.55**	**$20.60 (Sep)**	**-0.2%**	**$13.61**	**$15.24**	**-11%**	**$15.18**	**$18.03**	**-16%**
Diluted EPS, ex-marks	$9.25	$11.82	n/a	n/a	$13.61	n/a		$15.18	n/a	
Depreciation	**21.1**	**29.0**	**n/a**		**47.0**	**~47 (implied)**		**74.9**	**n/a**	
Capital expenditures	91.4	200.9	195-205 (guide)		257.2	257 to 303		263.9	344.7	
Free cash flow	**73.3**	**-1.1**	**7.3**		**-5.9**	**-37.0**		**42.0**	**6.3**	

- **FY2026 core EPS is $11.82 in my model. FY2026 consensus mixes treatments of the H1 marks, so it is not compared. My model assumes no gains from H2 2026.**
- **The gap opens in FY2027 and widens in FY2028.** Operating income is 9% and then 15% below consensus, on lower revenue and a lower margin. Capex is at the low end of the Street's range, which follows guidance of a significant increase in 2027; at the top of the range, $303B, my FY2027 free cash flow would be about -$51B and value would move by under $1 a share.

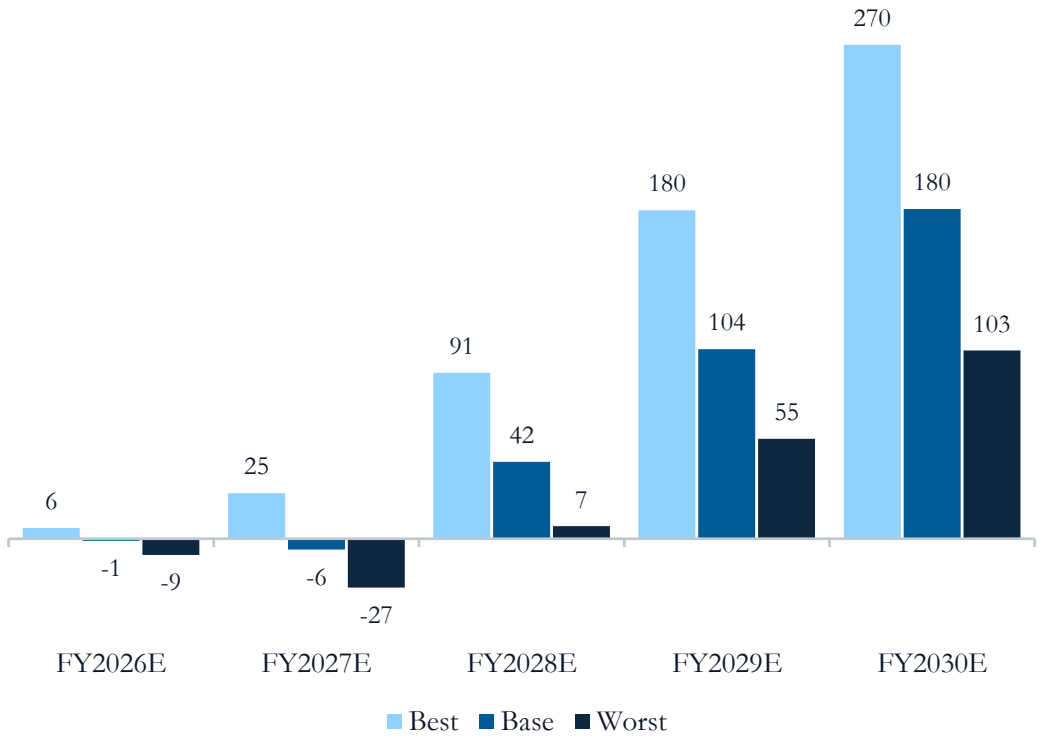
Sources: Alphabet Form 10-K (FY2025); StockAnalysis consensus (Oct 12, 2026; FY2027 EPS is non-GAAP); MarketScreener EBIT, FY2028 EPS (GAAP), capex and FCF (Oct 13, 2026); FactSet capex via CNBC (Jul 22, 2026); consensus depreciation is implied from MarketScreener EBITDA less EBIT and modeled stock-based compensation; Ahmadi Research model (base case).

Scenarios Turn on Capex Timing and the Depreciation Life

One switch moves growth, margin, capex and the asset-life split together

	Best	Base	Worst
Segment growth vs base	+3.0pp	Base	-4.0pp
Pre-ramp margin, FY26E to FY30E	35.8% to 39.8%	35.3% to 37.3%	34.5% to 32.5%
Capex, FY2030E ($B)	213 (20%)	239 (25%)	199 (27%)
Short-lived share of new assets	45%	60%	80%
FY2030E revenue ($B)	1,064	954	738
FY2030E operating margin	**34.5%**	**28.6%**	**17.6%**
FY2030E diluted EPS	$24.22	$18.06	$8.76
FY2030E free cash flow ($B)	**270.2**	**180.3**	**102.9**

Free cash flow by scenario, $B



All three cases step capex up in FY2027E, as guided. The worst case's low margin comes from depreciation on a build that outruns revenue: capex peaks at 46% of revenue in FY2027E and depreciation reaches 21% of revenue by FY2030E.

Sources: Ahmadi Research model, GOOGL_Data_2026-10-07.xlsx, sheets 15-17 (change log entries 25 to 65, Sep 21 to Oct 13, 2026).

DCF: The Base Case Is Worth $203 a Share Against a $341 Price

Unlevered FCFF at June 30, 2026, restated to the Oct 16 price date; WACC 9.61%, terminal growth 3.0%, ten-year fade to FY2040E

$B except per share	Base	Best	Worst
PV of FCFF, H2 FY2026E to FY2030E	54.6	229.9	-63.8
PV of the fade stage, FY2031E to FY2040E	874.3	1,561.9	342.0
PV of terminal value	1,196.2	2,232.7	419.7
Enterprise value	**2,125.1**	**4,024.5**	**697.9**
Add: net cash	+139.7	+139.7	+139.7
Add: equity stakes outside net cash	+129.5	+129.5	+129.5
Less: preferred	-19.0	-19.0	-19.0
Equity value	**2,375.3**	**4,274.7**	**948.1**
Diluted shares (M)	12,274	12,274	12,274
Value per share at June 30, 2026, end-of-period	$193.53	$348.27	$77.25
With mid-period discounting	$197.14	$355.18	$78.38
Value per share at the Oct 16 price date	**$202.63**	**$365.07**	**$80.57**
Against $340.59	-41%	+7%	-76%

Net cash of $139.7B excludes operating leases, which FCFF already pays, and includes $87.1B of marketable equity. Terminal value is 56% of operating value.

Discount rate	Value
Risk-free rate (10-year Treasury)	4.96%
Equity risk premium	4.42%
Beta, bottom-up	1.08
Cost of equity	9.73%
Pre-tax cost of debt	5.55%
Debt weight at market value	2.4%
WACC	**9.61%**

- **The terminal margin is derived, and it speaks for the whole business.** It fades to 20.9% against 28.6% in FY2030E as depreciation catches up with capex. In that steady state all capital earns the 15% set for new capital, against 29% today. Holding the FY2030E margin instead gives $253.
- **Cross-check.** $203 is 15.9x my blended FY2026/27 core EPS, for revenue the model grows 19% a year to FY2030E. The slide after the multiples reconciles the two.

Sources: Alphabet Form 10-Q (Q2 2026); U.S. Treasury (Sep 21, 2026); Damodaran implied ERP (Jul 2026) and Betas by Sector (Jan 2026); ICE BofA AA OAS via FRED; Ahmadi Research model, GOOGL_Data_2026-10-07.xlsx sheets 20 and 11 (rows 85-99).

Weighted Across Three Scenarios, Value Is $213 a Share

Scenario values at Oct 16, 2026. Cloud cents = annual revenue added per $1 of prior-year capex, not profit.

Worst case

25%

Returns on the build disappoint

$80.57

-76% against $340.59

- Segment growth 4pp below base
- Cloud adds about 19 cents per capex dollar
- Capex peaks at 46% of revenue in FY2027E
- New capital earns 10%, about the cost of capital

FY2030E: revenue $738B, operating margin 17.6%, free cash flow $103B

Base case

50%

The build earns a modest spread over its cost of capital

$202.63

-41% against $340.59

- Segment growth at base
- Cloud adds 30 cents, its FY2024-25 average
- Capex peaks at 43% of revenue in FY2027E
- New capital earns 15% after FY2030E

FY2030E: revenue $954B, operating margin 28.6%, free cash flow $180B

Best case

25%

AI payoff

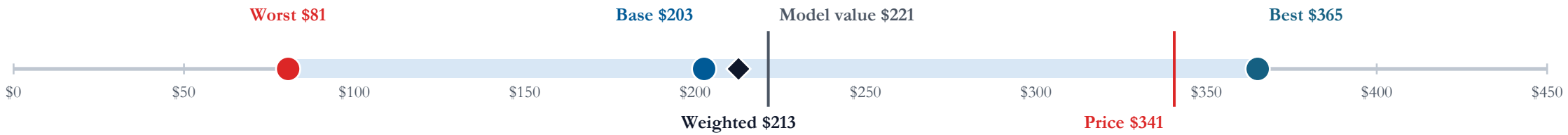
$365.07

+7% against $340.59

- Segment growth 3pp above base
- Cloud adds 33 to 37 cents
- Capex 40% of revenue in FY2026E, falling to 20%
- New capital earns 25%, near what the business earns now

FY2030E: revenue $1,064B, operating margin 34.5%, free cash flow $270B

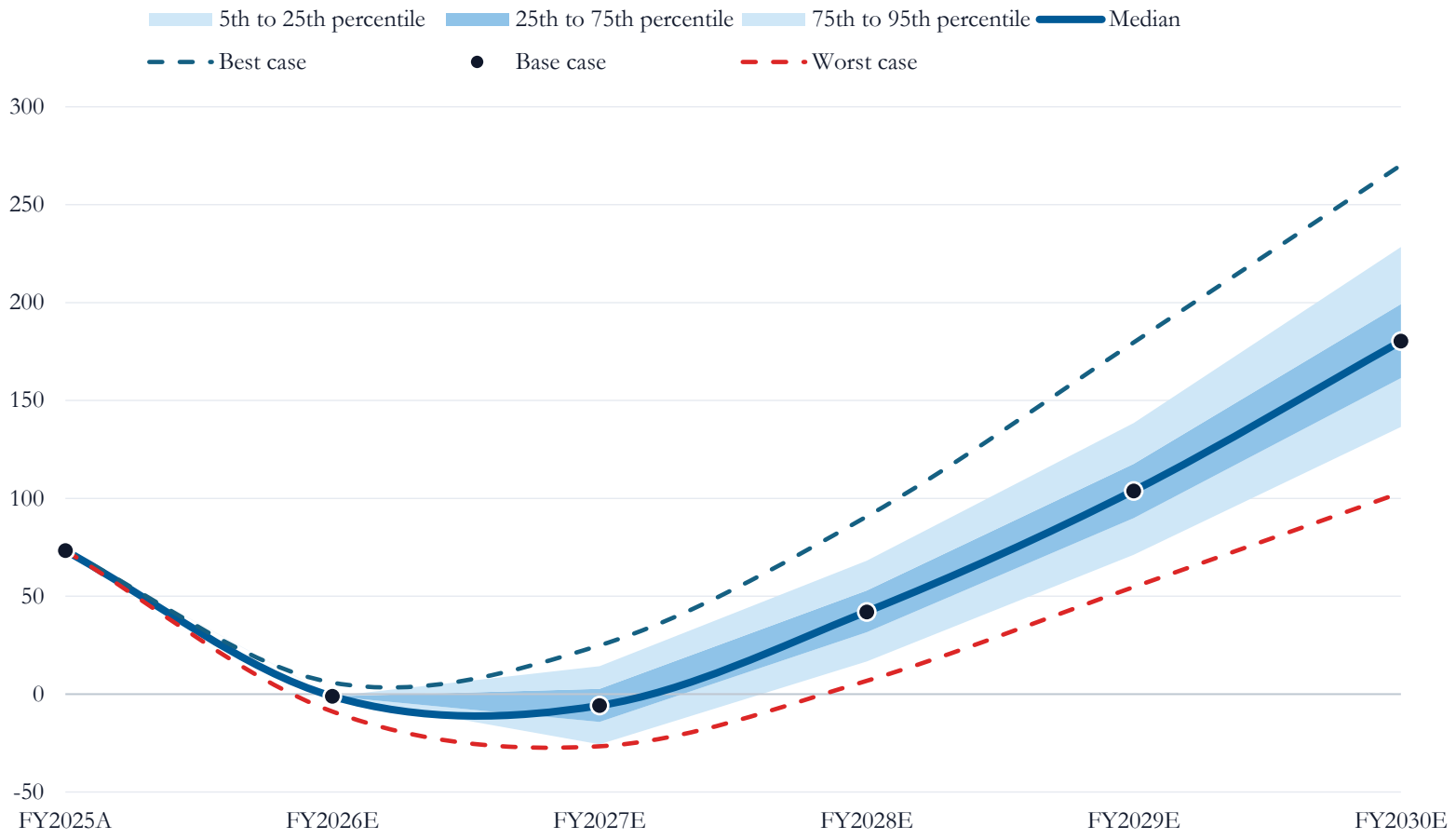
Half the weight is on the base case and a quarter on each tail. With the weight split evenly between the base and best cases and none on the worst, value is $284, still below the price.



Sources: Ahmadi Research model, GOOGL_Data_2026-10-07.xlsx (15 Assumptions, 16 Scenarios, 20 DCF Valuation, 11 Valuation rows 85-99); scenario weights are a personal judgment.

Free Cash Flow Dips Through FY2027E, Then Recovers as the Build Pays

Free cash flow, $B. Percentile bands from 10,000 draws under model assumptions, with workbook scenarios.



$180B

Median FY2030E free cash flow; 90% band $136B to $228B

-$6B

Median FY2027E free cash flow, the trough year as capex peaks; 68% of draws are negative

Tails, not paths

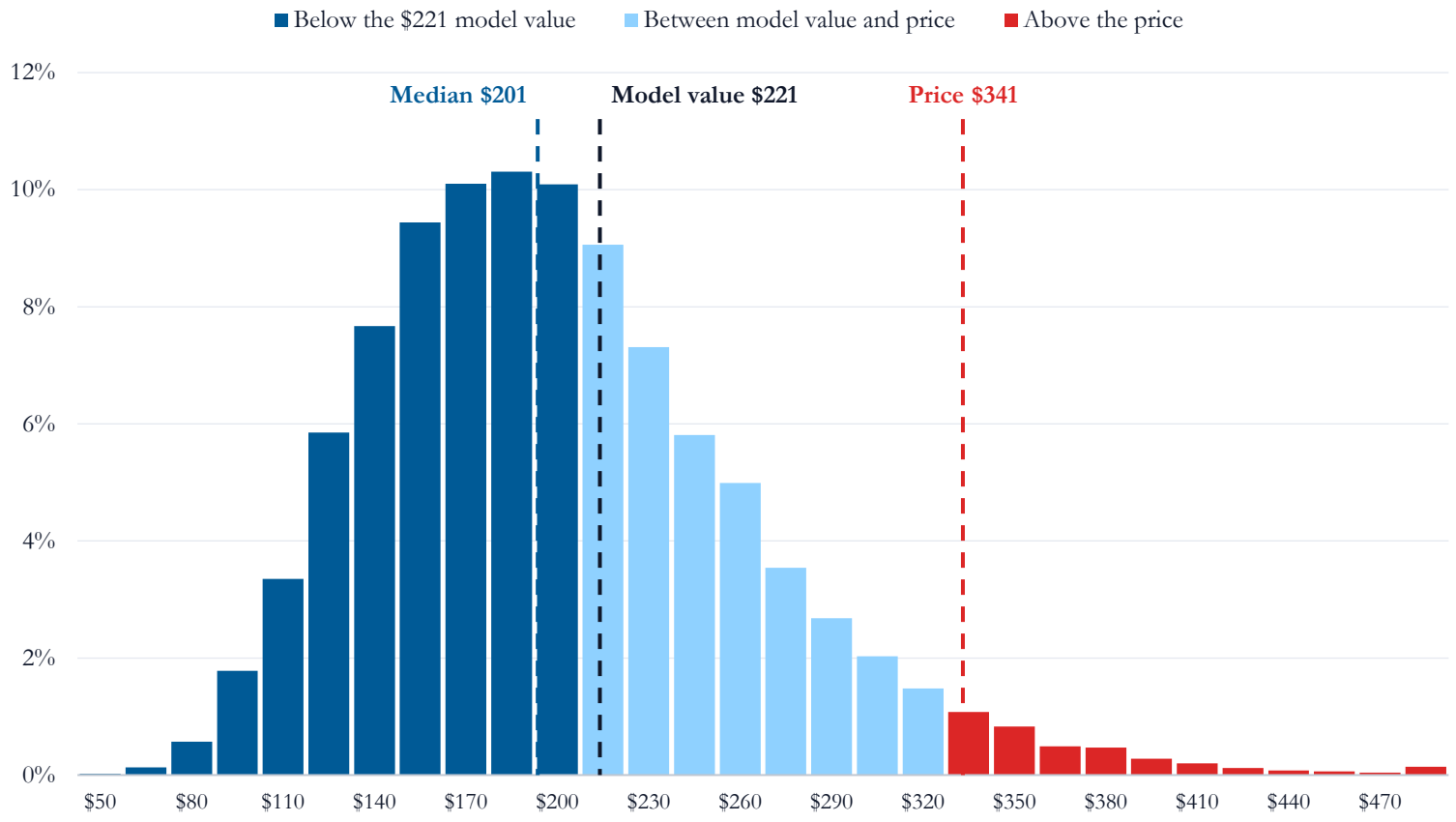
From FY2027E the named scenarios sit outside the 90% band: each moves every lever the same way at once

Sources: Alphabet FY2025 Form 10-K; Ahmadi Research workbook and scenario engine. Seed 20261015. Input distributions are personal judgments. Bands reflect model assumptions, not stock-price probabilities.

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Monte Carlo: Values Center on $201 Under My Assumptions

10,000 joint input draws valued at Oct 16, 2026. The distribution reflects model assumptions, not future trading prices.



$201

Median value; mean $208, close to the $203 base case

$122 to $322

90% interval of value per share at the price date

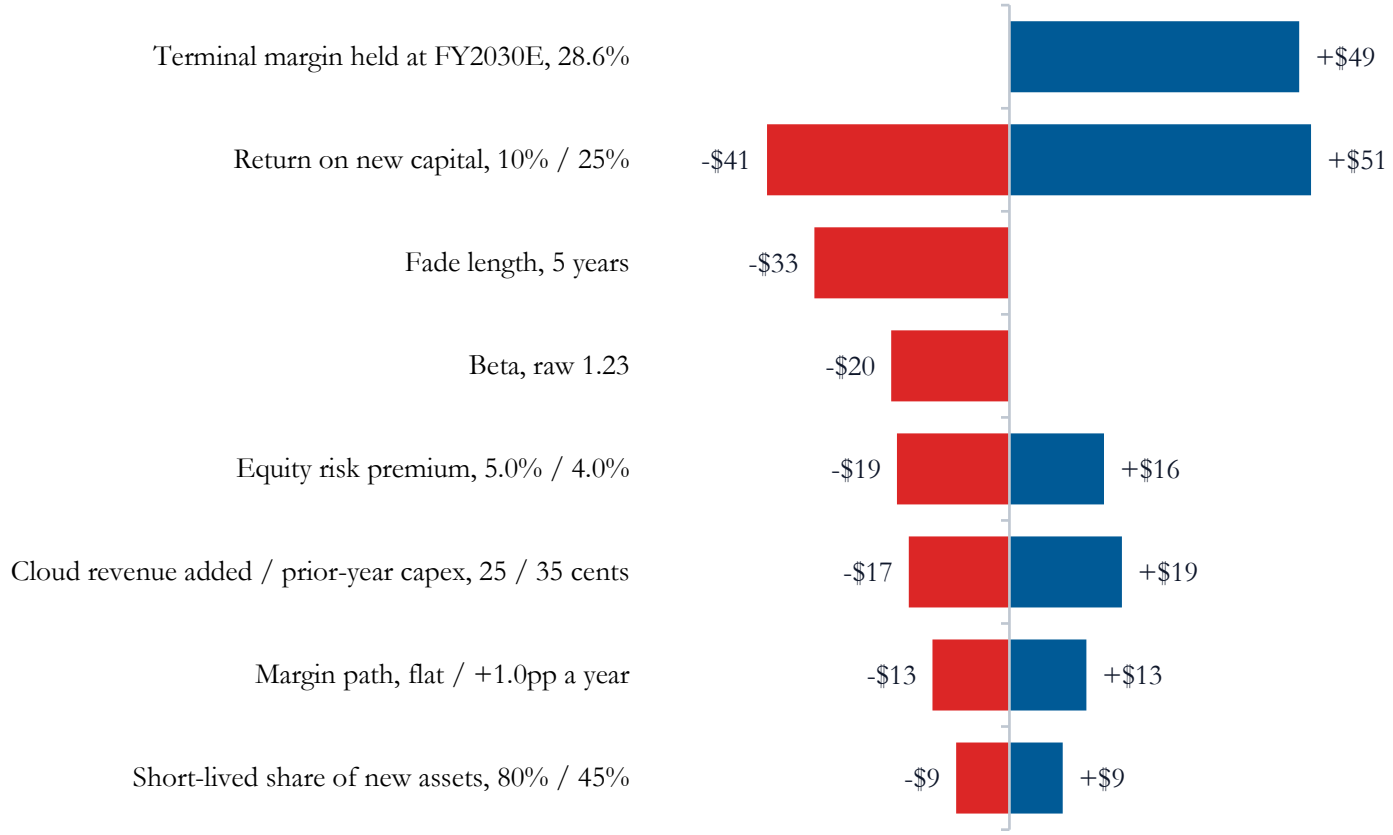
63%

of draws fall below $221; 3.4% exceed the $340.59 price under these assumptions

Sources: Ahmadi Research workbook and scenario engine. Seed 20261015; input distributions are personal judgments. Histogram colors use bin midpoints. Percentages use exact draw values; last bin includes values above $485.

The Return on New Capital After FY2030E Decides the Value

Change in base value per share when one input moves and everything else stays at base; $ per share



Effects are not additive, and each is about 5% larger at the price date. Holding the FY2030E margin pairs it with reinvestment that implies more depreciation than that margin carries; the derived margin instead puts the whole business on the return set for new capital.

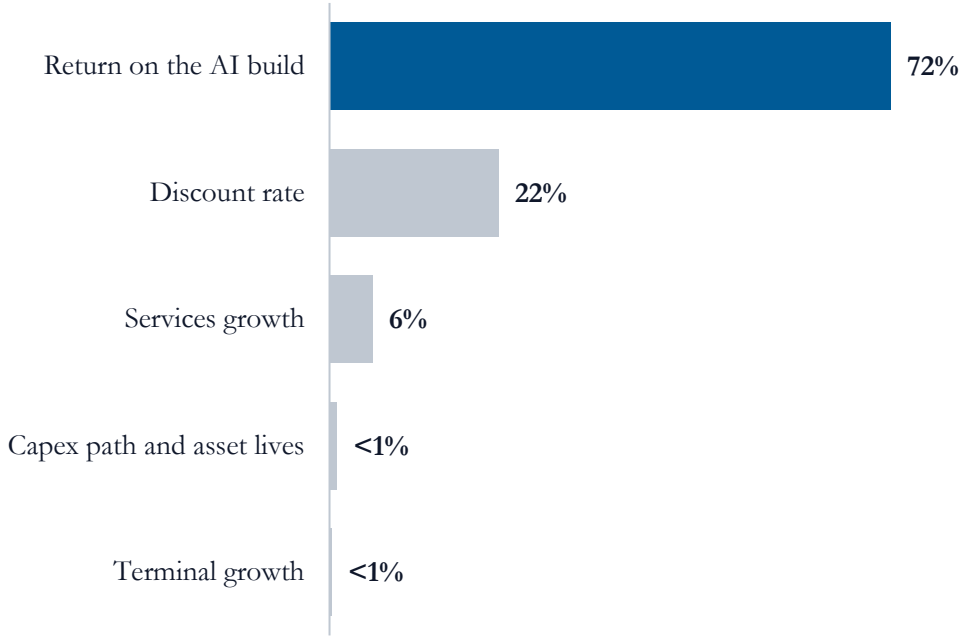
Why 15% in the base case

- **The build earns about the same.** Incremental ROIC on FY2026E to FY2030E capex is 14.6% in the base case.
- **It clears the cost of capital.** 15% is 5.4 points above the 9.61% WACC, so growth still adds value.
- **Today's return will not carry over.** TTM ROIC is 28.7% on my build and 24.9% on the provider's; it is earned mostly by capital-light Search, which new data-center capital will not resemble.
- **Capital-heavy peers bracket it.** Amazon earns 11.9% and Microsoft 26.2%.
- **The range.** About $153 at 10%, close to the cost of capital, and $245 at 25%, as built at June 30.

Sources: Ahmadi Research model, GOOGL_Data_2026-10-07.xlsx sheets 15 and 20; one-at-a-time sensitivities recalculated Oct 18, 2026 at the Oct 16 price (sheet 11 rows 114-124), on the value as built at June 30; S&P Global via StockAnalysis (peer ROIC).

AI Returns Dominate the Group Sensitivity Runs

Left: normalized variance across one-group-at-a-time runs. Right: DCF value by return and Cloud revenue productivity.



Return on the AI build is the return on new capital after FY2030E, Cloud revenue added per capex dollar and the pre-ramp margin path, drawn together. **Discount rate** is the Treasury yield, equity risk premium and beta.

Columns: Cloud revenue added per prior-year capex dollar. **Rows:** return on new capital after FY2030E.

Return / Cloud	20¢	25¢	30¢	35¢	40¢	45¢
10%	$134	$146	$160	$175	$192	$210
12.5%	$153	$167	$183	$201	$221	$243
15%	$168	$184	**$203**	$223	$245	$270
20%	$192	$212	$233	$257	$283	$312
25%	$211	$232	$256	$282	$311	**$343**
30%	$225	$248	$273	$302	$333	**$368**

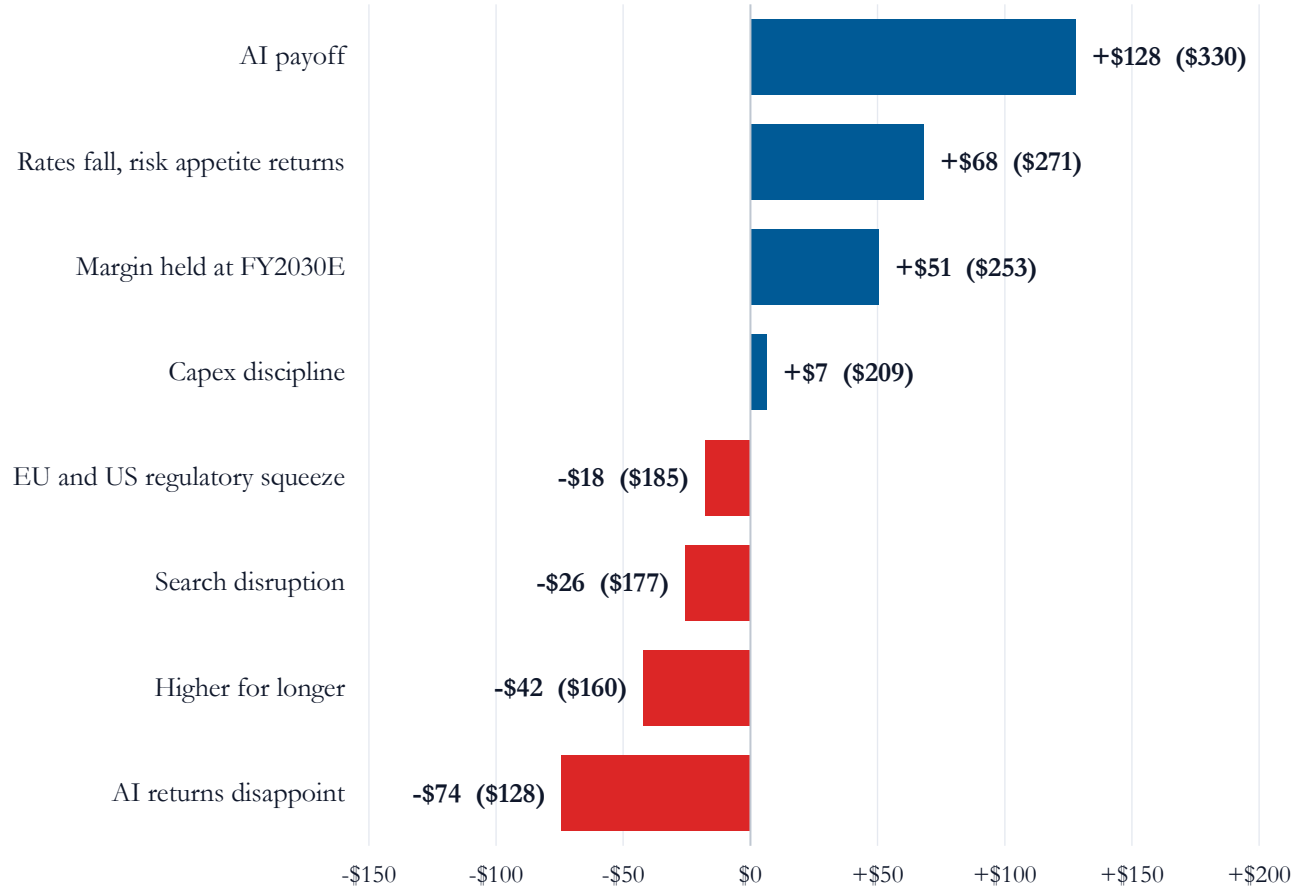
Below the $221 model value Model value to price At or above $341

Base case bold (15%, 30¢): $203. Two of 36 cells reach the price, all with Cloud at 45 cents and a return of 25% or more, against a history of about 30 cents.

Source: Ahmadi Research scenario engine. Each group varies for 3,000 draws, seed 7. Shares normalize the five separate variances; interactions are not allocated. Heat map holds other inputs at base.

Stress Tests: A Strong AI Payoff Brings Value Close to the Price

Change in price-date DCF value versus the $202.63 base case. Each model-defined stress runs separately.



What each stress assumes

AI payoff: Cloud adds 40 cents per capex dollar, a 25% return on new capital, pre-ramp margin up 1pp a year (base 0.5pp).

Rates fall, risk appetite returns: Ten-year Treasury 1pp lower (3.96%) and equity risk premium 0.5pp lower.

Margin held at FY2030E: Terminal margin held at 28.6% instead of fading to the derived 20.9%.

Capex discipline: Capex intensity 5pp lower FY2028E-FY2030E; Cloud revenue follows the smaller build.

EU and US regulatory squeeze: Search growth 2pp lower and margin 1pp lower from FY2027E (DMA data sharing, Android opened).

Search disruption: Search growth 5pp lower a year from FY2027E as AI assistants take queries.

Higher for longer: Ten-year Treasury 1pp higher (5.96%) and equity risk premium 0.5pp higher.

AI returns disappoint: Cloud adds 22 cents, a 10% return on new capital, capex 4pp higher FY2027E-FY2030E.

Source: Ahmadi Research scenario engine and workbook 11 Valuation C57-C58. Cloud cents mean annual revenue added per $1 of prior-year capex. Scenarios express assumptions, not probabilities.

Reverse DCF: No Single Input Takes the Base Case to $341

What the base case needs to be worth $340.59; each lever moved alone with everything else at base

Lever	Base case	Needed for $341	Reference
WACC	9.61%	7.04%	9.61% at the bottom-up beta of 1.08
Terminal operating margin	20.9%	44.1%	28.6%, FY2030E base-case margin
Return on new capital after FY2030E	15%	91%	28.7%, TTM ROIC on average invested capital
Cloud revenue added / prior-year capex	30 cents	59 cents	30 cents, FY2024 to FY2025 average
Pre-ramp margin expansion a year	0.5pp	6.4pp	1.5pp, FY2024 to TTM Jun 2026

Bullish readings stacked on the base case	Base value
As built	$193.53
+ margin expansion of 1.0pp a year (base 0.5pp)	$206.07
+ return on new capital of 20% (base 15%)	$236.67
+ beta of 1.0 (base 1.08)	$252.30
+ beta of 0.8	**$301.25**

- **The price needs several bullish readings at once.** Faster margin expansion, a 20% return on new capital and a beta of 0.8 together reach $301, still 12% below $340.59.
- **The best case is above the price.** On the June 30 value its break-even WACC is 9.73% against the 9.61% used, and at the price date it is +7% against the price. The base case needs 7.04%; the worst case stays below the price at any WACC above 5%.

Sources: Ahmadi Research reverse DCF, GOOGL_Data_2026-10-07.xlsx sheet 21 (regenerated Oct 18, 2026) and sheet 20 (break-even WACC); Alphabet Forms 10-K and 10-Q for the reference values.

Relative Valuation: Forward Multiples Give $299 to $360

Blended FY2026-FY2027 EPS applied to historical and peer forward P/E multiples, against the $340.59 price

Method	Multiple or rate	Applied to	On my earnings	On the consensus pair
DCF, base case, at the price date	**9.61% WACC**	**Unlevered FCFF to FY2040E**	**$202.63 (-41%)**	
DCF, base case, FY2030E margin held	9.61% WACC	The same cash flows without the fade in margin	$253.27 (-26%)	
Five-year average forward P/E	23.5x	Blended EPS: $12.71 model, $13.53 consensus pair*	$299.08 (-12%)	$318.36 (-7%)
Peer median EV/EBITDA	20.5x	TTM EBITDA of $172.9B, plus net cash and stakes, less preferred	$308.96 (-9%)	$308.96 (-9%)
Peer median forward P/E	26.6x	Blended EPS: $12.71 model, $13.53 consensus pair*	$337.85 (-1%)	$359.63 (+6%)
Memo: sell-side mean target		62 analysts		$430.40 (+26%)

- **The multiples bracket the price.** On my earnings they land 1% to 12% below $340.59; on the consensus pair the peer-median P/E is 6% above it. On FY2026E earnings alone the same multiples gave $278 and $314. The higher values come from the blended FY2026-FY2027 denominator. The P/E methods leave out $17.64 a share of equity stakes.
- **The DCF sits below the multiples, for a stated reason.** It lets depreciation catch up with the build and earns 15% on new capital. This cross-check uses forecast earnings and does not model the full depreciation path.
- **What closes the gap.** Holding the FY2030E margin takes the base DCF to $253; it takes three more bullish readings to reach the multiples. The next slide walks through them.

*Blended EPS averages FY2026 and FY2027. Model: my core EPS. Consensus pair: ($11.82 + $15.24 Oct 12 means)/2 = $13.53. Neither is the provider's forward EPS. Sources: workbook 07,17,11; StockAnalysis/S&P Global multiples (Oct 16, 2026).

Reconciliation: Four Bullish Readings Separate My DCF From the Multiples

Base case, $ per share at the price date; what has to be assumed for the DCF to reach the range the multiples give

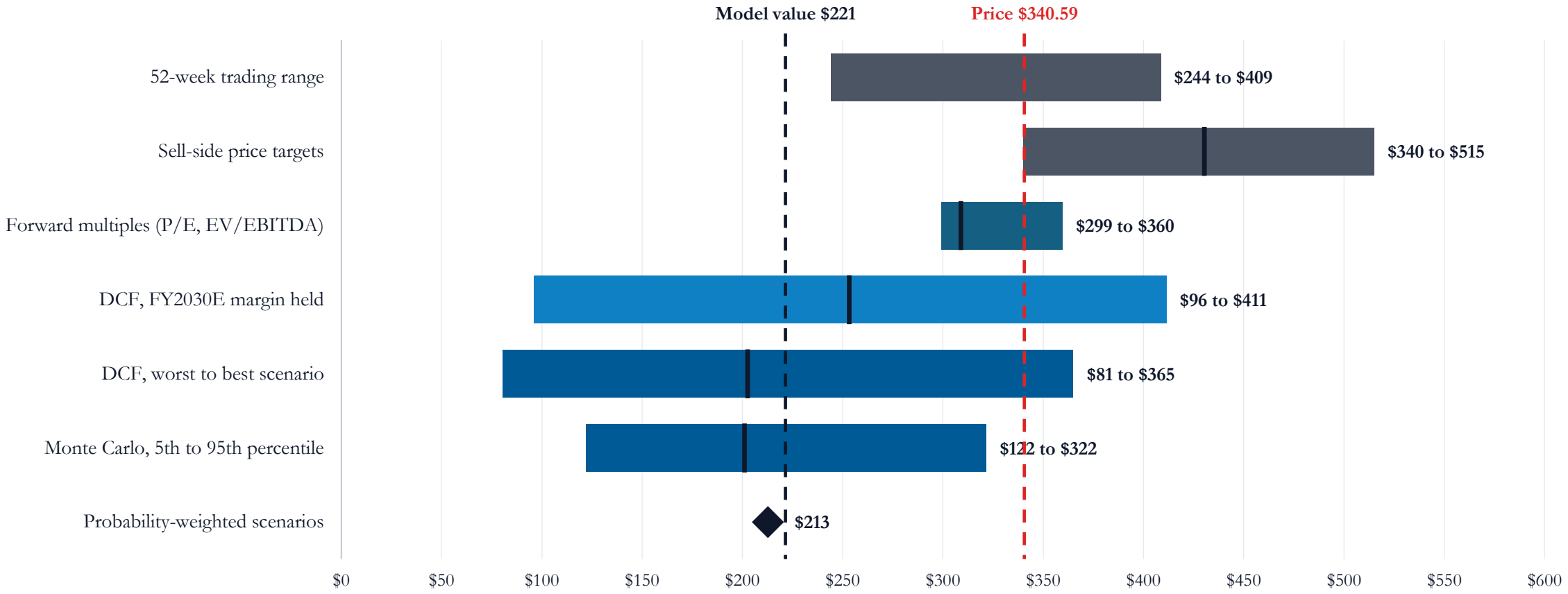
Step, each added to the ones above	Value per share	Against $340.59
Base DCF at June 30, 2026, end-of-period discounting	$193.53	-43%
Mid-period discounting, rolled to the Oct 16 price date	**$202.63**	**-41%**
+ FY2030E operating margin held to FY2040E	$253.27	-26%
+ return on new capital of 25% after FY2030E (base 15%)	$272.16	-20%
+ Cloud revenue added / prior-year capex: 35 cents (base 30)	$304.98	-10%
+ pre-ramp margin expansion of 1.0pp a year (base 0.5pp)	$328.85	-3%
Forward multiples, lowest to highest method	**$299 to $360**	**-12% to +6%**
Price, Oct 16, 2026	$340.59	

- **Where the gap comes from.** My base case lets depreciation rise from 6% to 22% of revenue as the build is placed in service and replaced, and earns 15% on new capital. That puts the whole business on a 15% return by FY2040E, against 29% today.
- **What the multiples assume.** Applying 24x to 27x to blended FY2026/27 earnings is a proxy, not a full cash-flow forecast. The DCF matches that only with the margin held, a 25% return, Cloud at 35 cents and faster operating leverage together.
- **My view.** Cloud has added about 30 cents per capex dollar and new data-center capital will not earn what Search does, so I retain the base case. If the evidence moves toward the bullish set, value moves toward $329; each step is on the watch list.

Sources: Ahmadi Research model, GOOGL_Data_2026-10-07.xlsx sheet 11 rows 100-112 (cumulative runs of Oct 18, 2026) and sheet 15 rows 92-109 (terminal margin derivation); Alphabet Forms 10-K and 10-Q.

Valuation Range: Market Measures Sit Above My Fundamental Estimates

Value per share, $, by method; bars show the range, the dark mark the central value



The Street's targets sit mostly above the price. Its range starts at $340, and 57 of 62 ratings are Buy or Strong Buy with none at Sell. The multiples bracket the price; the DCF ranges reach it in their best cases.

Sources: Ahmadi Research workbook and scenario engine, with assumed distributions. Targets: StockAnalysis, Oct 12, 2026. Ratings and 52-week range: StockAnalysis, Oct 16, 2026.

Model View: Sell, Twelve-Month Value $221

SHARE framework status; the model value is the base DCF at the price date rolled twelve months at the 9.73% cost of equity, less $0.88 of dividends

1. Select method

DCF primary; forward multiples as a cross-check. The reported P/E flatters the stock here.

Chosen

2. Historical review

Historical provider forward P/E: 23.5x average. On the Oct 12 consensus pair it is 25.2x; earnings bases differ.

Done

3. Adjust multiple

Reverse DCF: no single input takes the base case to the price within its own history.

Done

4. Range of targets

DCF: best $365, base $203, worst $81. Multiples: $299 to $360. Price $341.

Model value $221

5. Evaluate

Next event to watch: Q3 2026 results, October 28.

Watch item

Equity bridge input	Value	Status
Net cash (Jun 30, 2026)	+$139.7B	Filed; excl. operating leases
Mandatory convertible preferred	$19.0B at 6.25%	Filed; count once
Undrawn ATM program	$40.0B	Not in model
Diluted shares	12,274M	H1 2026 weighted
Equity stakes outside net cash	+$129.5B	Filed; non-marketable net of tax

Model value by scenario	Best	Base	Worst
DCF value at the price date	$365.07	$202.63	$80.57
Upside / downside vs $340.59	+7%	-41%	-76%
Sell-side reference	$515 high	$430 mean	$340 low
Break-even WACC	9.73%	7.04%	below 5%

Sources: Alphabet Form 10-Q (Q2 2026); StockAnalysis price targets (Oct 12, 2026); Ahmadi Research model and reverse DCF (Oct 18, 2026), WACC 9.61% on a bottom-up beta of 1.08 (Damodaran, Jan 2026).

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What Would Change My View: A Hold Needs More Than One Signal

At the $340.59 price, a Hold needs base DCF value of about $279. Values and sensitivities use the Oct 16 price date.

$279

base value for a Hold; model value $306, model-implied return above -10%

$357

base value for a Buy; model value $391, model-implied return above +15%

What one reading needs on its own for a Hold

Input	Base case	Needed for Hold
Cloud revenue added per capex dollar	30 cents	47 cents
Return on new capital after FY2030E	15%	31.9%
Pre-ramp margin expansion a year	0.5pp	3.40pp
Cloud, with the FY2030E margin held	30 cents	34.4 cents

A single positive signal prompts reassessment, not an automatic upgrade. Holding the FY2030E margin plus Cloud revenue added of about 34.4 cents per capex dollar reaches the Hold threshold.

Signals to watch, and when

Signal	Timing	Reassess positively	Toward a firmer Sell
Cloud revenue added / prior-year capex (base 30 cents)	Q3 results, Oct 28; 2027 capex guide, early Feb 2027	35 cents: +$20	25 cents: -$18
Cloud margin and depreciation once the build is in service	Each quarter through FY2027	Hold FY2030E total margin: +$51	Depreciation outruns revenue
Return on new capital (base 15%)	TPU revenue in 2027; incremental ROIC on the build	25%: +$53	10%: -$43
Alphabet-level AI costs (base 0.5pp a year of expansion)	Each quarter	1.0pp: +$13	None: -$13
Search growth, FY2027E–FY2030E	DMA data sharing from Jan 2027	-	1pp lower a year: -$5.64

What would not change it. A beat in reported EPS from equity marks, which carry no cash, or a rise in consensus without a change in what Cloud adds on the build.

Sources: Ahmadi Research workbook 11 Valuation C131:C132 and scenario engine. Search: -$5.64 at Oct 16 (-$5.39 at June 30). Cloud cents = annual revenue added per $1 of prior-year capex.

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Catalyst Calendar: What Could Move the Stock, Where, and When

Dated events tied to the critical factors

Jul 2026 (passed) — C

$5.2B Android fine paid in July after the CJEU denied the appeal

Shows up in: Free cash flow

Oct 28, 2026 — A C

Q3 2026 results

Shows up in: Equity marks, FCF, depreciation, capex guide

Early Feb 2027 (TBC) — B C

Q4 2026 results and 2027 capex guidance

Shows up in: Capex path, FCF recovery timing

Jul 2027 — F H

DMA: Android opened to third-party AI assistants

Shows up in: Gemini distribution

Today, Oct 16

Sep 21, 2026 (passed) — H

EU DMA 60-day compliance deadline (EUR 890M decision); no compliance finding or periodic penalties as of Oct 15; the Commission said on Oct 14 it is in dialogue with Google

Shows up in: Search in the EU; legal costs

Jan 2027 — E H

DMA: share ranking, query, click and view data with rival engines and AI chatbots

Shows up in: Search moat, Gemini

2027 — B

TPU revenue from the large agreement arrives in volume

Shows up in: Cloud revenue and margin

Factors, page 6: A Valuation · B Cloud · C Capex and FCF · D Margins · E Search · F Gemini · G Capital allocation · H Antitrust

Sources: European Commission press release IP/26/1670 and DMA specification decisions (Jul 16, 2026); CJEU; Alphabet Q2 2026 earnings call; Alphabet investor relations (Q3 call date announced Oct 6, 2026); The Next Web (Oct 15, 2026).

Risks and Where I Could Be Wrong

Specific to the critical factors; conviction and exit thresholds are stated below

Upside risks

- Capex intensity falls fastest: best-case FY2030E free cash flow reaches $270B.
- Cloud margin holds above 35% as the $513.9B backlog converts.
- Operating leverage beats my 0.5pp a year; consensus FY2027 margin proves right.
- Further equity gains lift reported EPS, though not cash.

Downside risks

- Search share loss to AI assistants; Search grew 16.8% in Q2, so no break yet.
- The $149B of marks can reverse, taking reported EPS with them.
- DMA data sharing (Jan 2027) and Android opening (Jul 2027) reach the Search and Gemini moat.
- AI talent departures weaken the model roadmap.
- $40.0B undrawn ATM adds dilution the model does not carry.

Where I could be wrong

- The return on new capital after FY2030E (15%) is the largest judgment; it sets the terminal margin (20.9%) for the whole business. 10% moves the base by -$41, 25% by +$51; holding the FY2030E margin adds $49.
- Margin inputs are anchored to one half-year (H1 2026).
- The short-lived share of new assets (60%) is not disclosed; 45% to 80% moves the base by $9 up or $9 down.
- My FY2027 other income of $3.2B may be low; consensus implies about $9B. This moves EPS, not DCF value.

Conviction: medium. A Hold requires a model-implied total return of -10% to +15%. With the current model value, the upper price threshold is about $247. At $340.59, base DCF value must reach about $279. Cloud productivity above 35 cents, Cloud margin above 35%, or earlier FCF recovery prompts reassessment, not an automatic upgrade. One modeled route pairs the FY2030E total margin held with Cloud productivity near 34.4 cents.

Sources: Alphabet Form 10-Q (Q2 2026); European Commission DMA decisions (Jul 2026); CNBC (Aug 5, 2026); Ahmadi Research model.

Risk Matrix: What Each Risk Is Worth in the Base Case

Effect is the one-at-a-time change in base value per share, as built at June 30; likelihood is a personal judgment

Risk	Factor	Likelihood	Effect on base value	Signals to watch
Return on new capital falls to 10%, near the cost of capital	C	Medium	-$41	Cloud margin as the backlog converts; incremental ROIC on the build
Discount rate at the raw beta of 1.23	A	Low	-$20	Rates and the equity risk premium
Equity stakes are marked down	A	Medium	up to -$18	$217B of stakes after tax, about half of it non-marketable
Cloud adds 25 cents of revenue per prior-year capex dollar, not 30	B, C	Medium	-$17	Cloud growth against prior-year capex; third-party capacity
Margin expansion stalls	D	Medium	-$13	Alphabet-level AI costs, up 71.7% in Q2 2026
Search loses share to AI assistants (growth 1pp lower a year)	E	Medium	-$5	Search growth below 10%; EU data sharing from January 2027
Capex runs at $303B in FY2027, the top of the Street's range	C	Medium	under -$1 a share	The 2027 guide with Q4 results in early February; free cash flow of about -$51B
The $40.0B ATM is drawn	G	High	about -1%	1.0% of the share count at $340.59
Risk to a Sell: the FY2030E margin holds	C, D	Medium	+$49	Depreciation as a share of revenue once the build is in service
Risk to a Sell: return on new capital of 25%	C	Low	+$51	TPU revenue in 2027; Cloud margin above 35%
Risk to a Sell: WACC of 8%	A	Low	+$74	A lower beta as the cash-flow profile matures

Factors, page 6: A Valuation · B Cloud · C Capex and FCF · D Margins · E Search · F Gemini · G Capital allocation · H Antitrust

Sources: Ahmadi Research model, GOOGL_Data_2026-10-07.xlsx sheets 11, 15, 20 and 29 (sensitivities of Oct 18, 2026); Alphabet Form 10-Q (Q2 2026); European Commission DMA decisions (Jul 2026); MarketScreener capex consensus (Oct 13, 2026).

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Personal Model, Methodology and Disclosures

A hobby project for information and learning. Model labels and values are not investment advice.

Model label	Definition	Horizon
Buy	Model-implied total return above 15%	12 months
Hold	Model-implied total return of -10% to +15%	12 months
Sell	Model-implied total return below -10%	12 months
Not rated	No model view assigned	-

Personal model label: Sell. Twelve-month model value $221, a model-implied total return of -35% against $340.59. The model value is the base-case DCF value at the price date ($203) rolled forward twelve months at the 9.73% cost of equity, less $0.88 of dividends. The best case gives $400 and the worst $88. The thesis horizon is 2-3 years.

Valuation methodology: DCF as primary, with forward P/E and EV/EBITDA multiples as a cross-check, using blended FY2026/27 EPS (my model and the Oct 12 consensus means) for P/E, and TTM EBITDA for EV/EBITDA. Core EPS is a derived figure that excludes gains and losses on equity securities.

Basic information: Alphabet Inc., NASDAQ: GOOGL and GOOG, Communication Services, interactive media. Market cap $4.17T at $340.59 (Oct 16, 2026). Float is effectively the Class A and Class C shares; Class B is founder-held and unlisted.

Personal project. I created this presentation for fun and learning. "Ahmadi Research" is my personal project name.

Informational use only. No investment, financial, legal or tax advice, offer or solicitation. Buy/Hold/Sell labels and model values express model-based opinions, not instructions or personalized recommendations.

Interests. I may hold or trade securities discussed, including Alphabet and peers, without notice. Views may change; I make no commitment to update.

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Basis: personal model and cited sources. Buy/Hold/Sell are illustrative labels, not trading recommendations.

Appendix: Base-Case Model Summary

$B except EPS and %. TTM EPS uses aggregate income / shares here; the earnings bridge uses period EPS rolls.

	FY2023A	FY2024A	FY2025A	TTM Jun 26	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	307.4	350.0	402.8	445.9	489.9	594.0	713.2	834.8	954.4
Operating margin	27.4%	32.1%	32.0%	33.1%	35.0%	33.5%	31.5%	29.7%	28.6%
Depreciation	11.9	15.3	21.1	25.2	29.0	47.0	74.9	106.2	137.4
Diluted EPS, reported	$5.80	$8.04	$10.81	$19.92	$20.55	$13.61	$15.18	$16.63	$18.06
Diluted EPS, core	$5.78	$7.81	$9.25	$10.32	$11.82	$13.61	$15.18	$16.63	$18.06
Capital expenditures	32.3	52.5	91.4	132.4	200.9	257.2	263.9	258.8	238.6
Free cash flow	**69.5**	**72.8**	**73.3**	**53.3**	**-1.1**	**-5.9**	**42.0**	**103.8**	**180.3**

FY2026E reported EPS includes the $135.9B of H1 2026 marks already booked; gains are zero from H2 2026. Balance sheet and DCF are on sheets 18 and 20; base DCF value $193.53 a share at June 30, 2026, and $202.63 at the price date.

Sources: Alphabet Forms 10-K and 10-Q; Ahmadi Research model, GOOGL_Data_2026-10-07.xlsx sheet 17 (base case).

Appendix: Sources

Primary filings first; every figure in this deck traces to one of these or to the model

[1] Alphabet Inc., Form 10-Q, quarter ended June 30, 2026 (filed Jul 23, 2026), SEC EDGAR

[2] Alphabet Inc., Form 8-K Ex. 99.1, Q2 2026 results (Jul 22, 2026)

[3] Alphabet Inc., Form 10-Q, quarter ended March 31, 2026

[4] Alphabet Inc., Form 10-K, fiscal years 2023-2025, incl. property and equipment notes

[5] Alphabet Inc., Form 8-K and FWP, June 2026 equity offerings

[6] Alphabet Q2 2026 earnings call transcript (Jul 22, 2026)

[7] Amazon.com Inc., Form 8-K, Q2 2026 results

[8] European Commission, press release IP/26/1670 (Jul 23, 2026) and DMA specification decisions (Jul 16, 2026)

[9] Synergy Research Group, cloud infrastructure market share, 2026

[10] StockAnalysis.com, GOOGL statistics, forecast and ratings; MSFT, META, AMZN, AAPL, NVDA statistics (Sep 8-15 and Oct 12-13, 2026)

[20] GV and CapitalG portfolio pages, accessed Oct 15, 2026; Google, "Our latest bet on a fusion-powered future" (Jun 30, 2025)

[21] Bloomberg (Apr 24, 2026), Fortune (Jul 22, 2026) and VentureBeat (2015) on the Anthropic and SpaceX stakes

[11] MarketScreener, Alphabet consensus estimates incl. EBIT (retrieved Sep 21 and Oct 13, 2026)

[12] CNBC coverage, Jul-Sep 2026 (capex, AI talent departures, monthly losing streak)

[13] U.S. v. Google LLC (E.D. Va.), remedies ruling (Sep 2, 2026)

[14] Ahmadi Research, GOOGL_Data_2026-10-07.xlsx, audit of Sep 17, review fixes of Oct 7 and refreshes of Oct 13 and Oct 18, 2026

[15] Damodaran, A., Betas by Sector (US), data as of January 2026, NYU Stern

[16] Google 2026 Environmental Report, as reported by Axios (Jun 30, 2026) and S&P Global (Sep 3, 2026)

[17] Alphabet Inc., 2026 proxy statement (Form DEF 14A, Apr 24, 2026)

[18] StatCounter (May 2026), Sensor Tower via Reuters (Jun 2026) and eMarketer (2026 forecast), search and AI-assistant usage

[19] CFA Institute, Equity Research Report Essentials (2020) and Research Challenge report guidelines

[22] Robinhood market data (SPCX closes, GOOGL 52-week range, ratings; Oct 2026); Ahmadi Research scenario engine and Monte Carlo (Oct 15, 2026)